ANNUAL REPORT 2006-2007

NO. 1 IN TRUCK & BUS RADIAL

JKTYRE & INDUSTRIES LTD.

Dear Fellow Shareholders,

Indian economy, with its growing domestic market, rising income and aspirations of people, is on a high growth trajectory. Tyre industry's growth, the world over, is largely influenced by the growth in the automotive sector. The world's automotive sector growth will essentially come from emerging markets which will play an increasing role in tyre industry's growth.

The automotive sector- a major growth driver of Indian economy is expected to do well especially with the Government's policy thrust on infrastructure development , road connectivity and port development. Given these factors, the pace of radialisation is expected to accelerate significantly. This offers major growth opportunities in both Passenger as well as Commercial radial tyres segment.

Further, India is emerging as a manufacturing and outsourcing hub for small cars. The unveiling of mini Car NANO an extraordinary feat by Tata's will indeed revolutionize not only the Indian but also the global car industry. The low price offered, will make the new car affordable to a very large section of Indian population. This will throw open large opportunities for the Indian tyre industry.

JK Tyre has taken a series of proactive initiatives such as substantially expanding capacity in both Passenger as well as Truck radial tyres, introducing a wide range of products to meet diverse requirements of customers and improving service delivery. The company has also been successful in facing the challenges of competition through aggressive cost reduction, improved internal operational efficiencies and product mix enrichment.

It is heartening that the Company has crossed an important milestone by achieving sales and other income in excess of Rs 3,200 crore. The exports have crossed Rs. 480 Crore with company's tyres being exported to nearly 75 countries across the six continents. JK Tyre has arrangements with tyre companies in different countries for outsourcing tyres for export markets. Encouraged by the customer satisfaction and increasing demand for JK Tyre's high quality products, the company is seriously exploring acquisition opportunities for strengthening its global footprint.

JK Tyre as a responsible corporate citizen has taken many initiatives for the care of society and environment at large. Facilities for education, healthcare, rural uplift and development are being strengthened and upgraded for the benefit of people particularly in and around factories and establishments of the Company.

Best Wishes

Hari Shankar Singhania

DIRECTORS' REPORT

TO THE MEMBERS

The Directors have pleasure in presenting the Annual Report and Audited Accounts of the Company for the year ended 30th September, 2007.

The turnover during the year under review was at an all-time high of Rs. 3206 crores as against Rs. 2970 crores in the previous year. The operating Profit for the year at Rs. 265 crores registered an increase of 57% over the previous year, and after providing for cost of borrowings and depreciation, the Profit Before Tax was Rs. 101 crores, an all-time high registering an increase of 362%. Profit After Tax for the year was Rs. 67 crores.

Dr. Raghupati Singhania at the International Rubber Conference with his excellency Governor of Rajasthan Shri S K Singh and Dr. K Kasturirangan

The Company has achieved this improved performance due to all-round improvement in operations, drive on cost compression, plant efficiencies, stable input prices and better sales realisation.

APPROPRIATIONS

The amount available for appropriation, including surplus from previous year and debenture redemption reserve no longer required is Rs. 99.86 crores. The Directors propose this to be appropriated as under :-

	Rs. Crores
Debenture Redemption Reserve	5.02
General Reserve	60.00
Dividend	8.32
Corporate Dividend Tax	1.41
Surplus carried to Balance Sheet	25.11

Outdoor campaign on buses

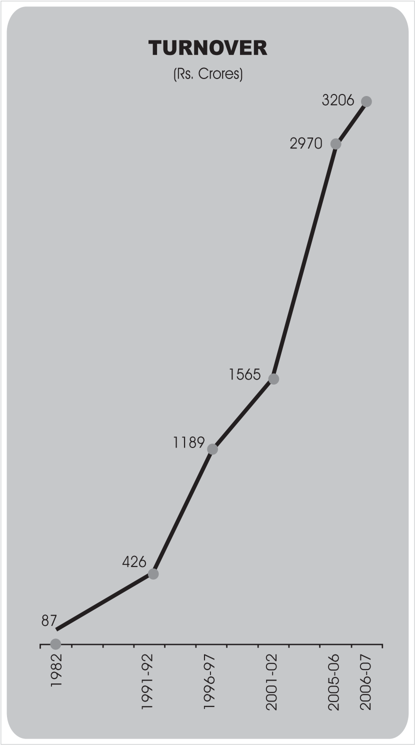
MOVING UP THE TECHNOLOGY LADDER

Several high performance tyres both in the Commercial Vehicle as well as the Passenger Car Radial segment were launched. A new tyre, offering high mileage, "JET ONE" introduced during the year is already enjoying a premier position in the truck and bus segment. Apart from this, several new tyres introduced both in the HCV as well as LCV range have received encouraging consumer response.


Unistage tyre building machine - Passenger Car Radial

New Semi-Lug and Rib pattern Truck Radial tyres launched during the year are performing extremely well in their respective segments.

In the Radial Passenger Car tyre category, high performing "V-Rated" ZEPHYR, capable of speeds upto 240 Kms / hour, was introduced - a first of its kind. The latest generation "VECTRA" tyre in a range of sizes has received customer preference in the market place. Ultra high performance "Z-Rated" tyres in speed rating of 300 Kms / hour or more, were launched especially for Formula racing cars - yet another first in India. These tyres shall be introduced for passenger cars in the coming years.



It is a matter of great satisfaction that JK Tyre is the exclusive supplier to certain Original Equipment Manufacturers (OEMs) for new Generation world cars such as Maruti-Suzuki's SX4 - ZXi, Swift, Mahindra - Ranault's Logan and M&M's Scorpio for their export models.

EXPANSIONS

The pace of radialisation in the commercial tyre segment in India has accelerated. The Company is seizing this opportunity and has taken on hand a project for more than doubling the capacity of its Truck/Bus Radial Plant to 8.00 lac tyres from 3.67 lac tyres per annum. This expansion estimated to cost Rs.315 crores will be completed by the end of calendar year 2008 and will further strengthen JK Tyre's commanding position in the Truck/Bus Radial segment.

During the year, JK Tyre also diversified into Special Application Tyres and commenced their exports. A project to scale up the manufacturing capacity of these tyres has been taken up. This niche tyre segment will also boost our exports to Central and South America, Europe and Australia.

With renewed emphasis being given in the country on infrastructure development, we foresee growing demand for Off The Road (OTR) tyres. We have entered into an arrangement with BEML for supply of OTR tyres on a long term basis. Accordingly, the Company has undertaken a project for substantial expansion of its OTR tyre capacity at a capital outlay of Rs. 120 crores. This project will also be completed by end of the calendar year 2008 and will add significantly to the turnover and profitability in the years ahead.

Steel Cord Creel Room

With a view to contain the ever increasing energy costs, the Company is undertaking several energy saving projects which will result in considerable savings in energy costs across its plants.

All these expansion projects are estimated to cost Rs.480 crores and the Company has already tied up the financing needs for the same.

DIVIDENDS

Your Directors are pleased to recommend dividend of 27% (Rs.2.70 per Equity Share) on the

Truck Radial tyre plant

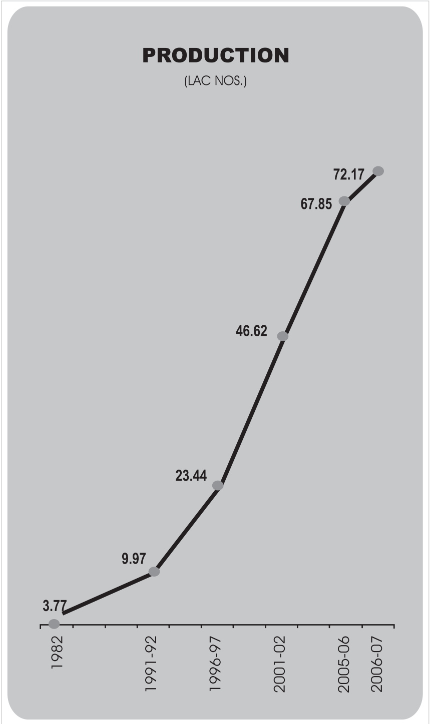
Equity Share Capital of Rs 30.79 crores. The dividend outgo will be Rs.9.73 crores (inclusive of dividend tax of Rs.1.41 crores) as against Rs. 8.78 crores in the previous year.

RIGHTS ISSUE

The Board has already approved issue of Rights Shares in the proportion of 1 Equity Share for every 3 Equity Shares held by the shareholders. Necessary steps for the same are well under way.

CONSERVATION OF ENERGY ETC.

The details as required under the Companies (Disclosure of Particulars in the Report of Board of Directors) rules, 1988 are annexed. The Board records its appreciation that your Kankroli Tyre Plant has



Steering robot being used for Hi-tech product testing

been awarded CII GBC Excellence Energy Efficient Plant Award - the Green Tech Environmental Award (Gold Category).

DIRECTORS

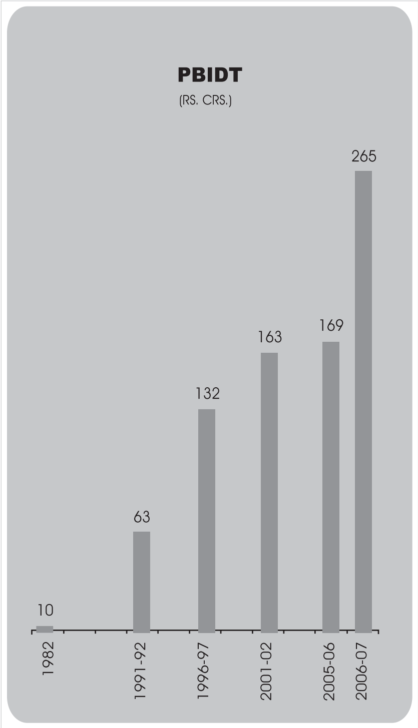
Shri Arvind Singh Mewar, Shri Bakul Jain and Shri O.P. Khaitan retire by rotation and being eligible offer themselves for re-appointment at the forthcoming Annual General Meeting.

During the year, Shri Arvind Narottam Lalbhai resigned from the Board of Directors of the Company due to his advanced age and health reasons. The Directors place on record their deep sense of appreciation and thanks for very valuable services and advice rendered by Shri Lalbhai during his long tenure of over 30 years as a Member of the Board. The Board records its deepest regret on his demise recently.

SUBSIDIARY COMPANIES

The particulars required under the provisions of the Companies Act, 1956 in respect of the subsidiary companies are appended.

AUDITORS



M/s Lodha & Co., Chartered Accountants, Auditors of the Company, retire and are eligible for re-appointment. The observations of the Auditors in their report on Accounts read with the relevant notes are self-explanatory.

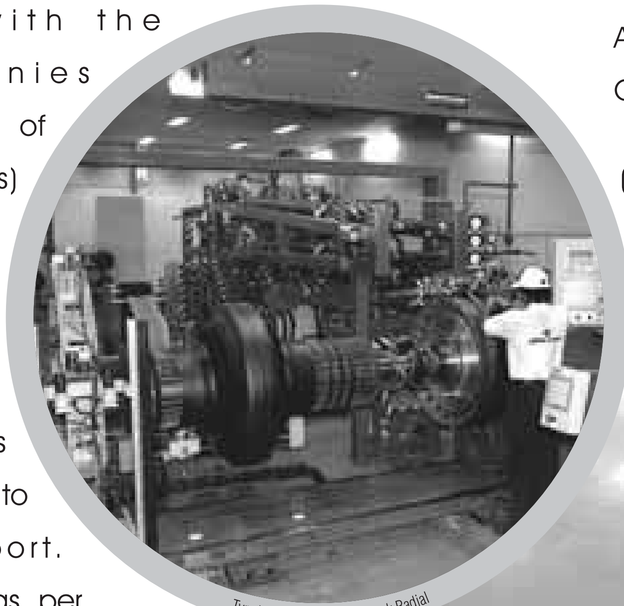
COST AUDIT

The Audit of the Cost Accounts of the Company for the year ended 30th September, 2007 has been conducted by the Cost Auditor and the Cost Audit Report will be submitted to the Ministry of Corporate Affairs, Government of India.

Dr R P Singhania at the Asia Pacific HR Congress receiving 'CEO of the year' HR Orientation Award from Minister of Civil Aviation Mr. Praful Patel

PARTICULARS OF EMPLOYEES

Information in accordance with the provisions of Section 217 (2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975 as amended regarding employees is annexed to this Report. However, as per the provisions of Section 219(1)(b)(iv) of the Companies Act, 1956 the Report and Accounts are being sent to all shareholders of the Company excluding the aforesaid information.



Tyre building machine - Truck Radial

Banmore tyre plant

Any shareholder interested in obtaining such particulars may write to the Secretary at the Company's New Delhi address.

CORPORATE GOVERNANCE

Your Company reaffirms its commitment to the good corporate governance practices. Pursuant to Clause 49 of the Listing Agreement with the Stock Exchanges, a Management Discussion and Analysis, Corporate Governance Report and Auditors Certificate regarding compliance of conditions of Corporate Governance are made a part of this Annual Report.

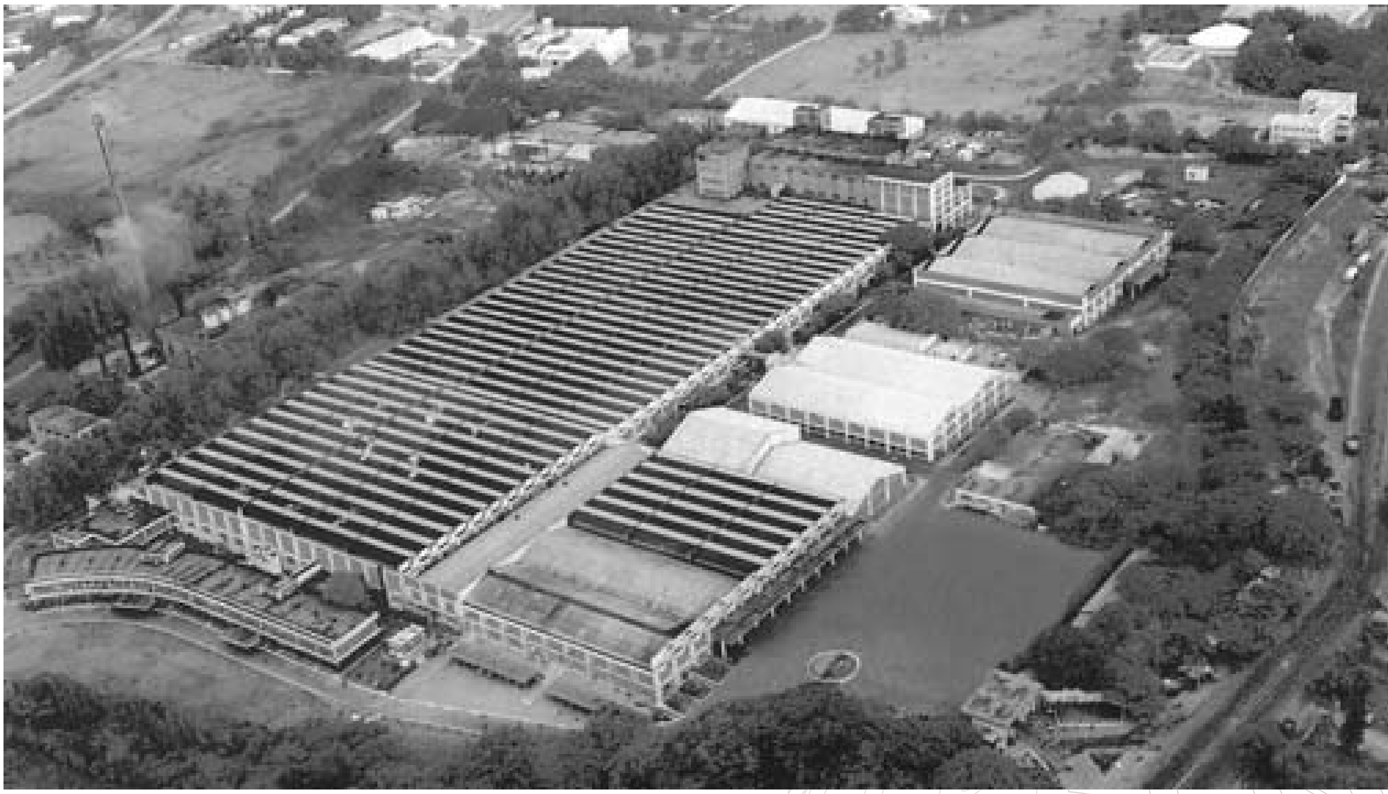
DIRECTORS RESPONSIBILITY STATEMENT

As required under Section 217 (2AA) of the Companies Act, 1956 your Directors state that :-

(i) in the preparation of Annual Accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures;

(ii) the accounting policies selected and applied are consistent and judgements and estimates made are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period;

(iii) proper and sufficient care has been taken for maintenance of adequate accounting records in accordance with the provisions of the said Act for safeguarding the assets of the Company and for preventing and detecting



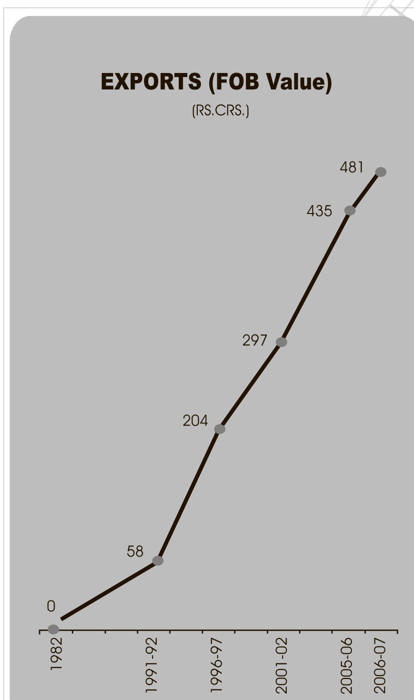
Vikrant tyre plant

fraud and other irregularities; and

(iv) the annual accounts have been prepared on a going concern basis.

ACKNOWLEDGEMENTS

Your Directors wish to place on record their appreciation for the continued support and co-operation received from the financial institutions, banks, various central and state government agencies, the technical collaborators M/s Continental AG-Germany, shareholders, suppliers, dealers and in particular the valued customers. Your Directors also record their appreciation for the dedication and passion of 'Team-JK Tyre' which has enabled the Company to remain at the forefront of the industry.



On behalf of the Board

The 29th January, 2008 H.S.SINGHANIA

New Delhi CHAIRMAN

ANNEXURE TO DIRECTORS' REPORT

A. ENERGY CONSERVATION

(a) Conservation of energy is a high priority ongoing activity across plants as well as administrative offices of the Company. A process of benchmarking energy consumption parameters viz., Power, Fuel, Air, Water etc. forms the foundation for improvement actions relating to reduction of consumption and alternate use of various kinds of energy. During the year, a number of projects were undertaken to improve the usage as well as reduction of various forms of energy. This includes optimized usage of pneumatic air, replacement of metallic blades with FRP blades on fans, reduction in water consumption through water recycling and rainwater harvesting, introduction of air preheating system and reduction of cooling towers by improved efficiency and usage, revamping of boilers, installation of auto air fuel controllers, elimination of transmission losses through regular thermography study of electrical power distribution etc. These actions have been acknowledged in the form of awards and recognition. For example, your Kankroli Tyre Plant has been awarded with CII GBC Excellent Energy efficient plant award, the Green Tech Environmental Award (Gold Category).

(b) Specific area of additional investments and proposals.

(c) The Company has planned investment in a number of projects involving conservation of energy which include generation of energy through alternative and cheaper sources of fuel, replacement of old compressors with energy efficient ones.

B. RESEARCH AND DEVELOPMENT

(a) Research and Development Activities

Introduction of new vehicles by existing OEMs and entry of new Automobile Manufacturers has led to tremendous technology challenges for the Tyre industry to meet the demand for newer and better products meeting global standards. In addition to this, continuous increase in costs of almost all inputs viz., Natural Rubber, Nylon Fabric, Carbon Black, etc. has put pressure on Tyre

HASETRI - Setting new benchmarks in technology

High efficiency X-ray unit

Industry to largely absorb these costs by reengineering products and manufacturing process. Major portion of Research and Development efforts is directed towards meeting these challenges.

Extensive use of predictive technology using simulation techniques and optimization of material usage has led to various performance improvements including low rolling resistance to reduce fuel consumption and enhanced product life cycle. Special attention is paid towards environmental effect. Various actions have been taken at "Hari Shankar Singhania Elastomer & Tyre Research Institute" and Raghupati Singhania Centre of Excellence at IIT-Chennai for overall product and process improvement in addition to action by in-house R&D teams.

(b) Research & Development Expenses

The expenditure on R&D during the year was Rs. 12.83 crores, which was 0.40% of the turnover.

'Frost & Sullivan, India Manufacturing Award' for Kankroli Tyre Plant being received by A.K. Makkar (VP - Works KTP) and Dr. R. Mukhopadhyay (Director HASETRI)

Dr. Raghupati Singhania with JK Tyre National Racing Championship '07 winner along with Mr. Suresh Kalmadi and Narain Karthikeyan

C. TECHNOLOGY ABSORPTION, ADAPTATION & INNOVATION

Competent, professionally qualified and well trained team of scientists, engineers and technologists have successfully adopted and absorbed latest Global Technologies as well best practices. For high performance tyres viz., PCR, LCV Radial, Truck Radials and OTR our intense in-house programme for absorption of design and manufacturing technology with well structured activities, is in place.

Besides, inflow of technology from our collaborators M/s Continental AG, Germany is suitably adapted to Indian conditions.

D. EXPORT, FOREIGN EXCHANGE EARNINGS AND OUTGO

(Rs. Crores)

	2006-07	2005-06
Foreign Exchange Earnings	482.62	436.95
Foreign Exchange Outgo	540.47	463.00

PARTICULARS OF CONSERVATION OF ENERGY

I. Power & Fuel Consumption

	2006-07	2005-06
1. Electricity		
a) Purchased :		
Unit (Kwh in lacs)	1169.28	1105.51
Total Amount (Rs in Crores)	54.08	50.92
Rate / Unit (Rs.)	4.62	4.61
b) Own Generation:		
Fuel Oils		
Unit (Kwh in lacs)	288.43	328.63
Unit / Ltr. of Fuel Oil (kwh)	2.88	2.72
Cost / Unit (Rs.)	4.24	3.99
c) Turbo Generator		
Thru Coal		
Unit (Kwh in lacs)	426.95	422.74
Unit / MT of Coal	951.53	944.65
Cost / Unit (Rs.)	3.20	3.75
2. Coal		
Quantity (MT)	107182	105777
Total Amount (Rs in Crores)	31.31	31.03
Average Rate (Rs./MT)	2921	2933
3. Furnance Oil		
Quantity (KL)	21310	19461
Total Amount (Rs in Crores)	36.66	35.07
Average Rate (Rs./Ltr.)	17.20	18.02

II. Consumption per unit of production :

Electricity (Kwh/MT)	910	913
Coal/Furnance Oil	0.52	0.50

MANAGEMENT DISCUSSION AND ANALYSIS

OVERVIEW

Indian economy continued to perform well and achieved a GDP growth of over 9%. The industrial production recorded 6% increase largely due to significant growth in the manufacturing sector. Greater emphasis on inclusive growth and higher infrastructure spends will lead to further growth momentum in the years ahead.

Transport Sector, an important ingredient of the economic activity, has performed well in the year. The Company is seizing this opportunity by undertaking further capacity expansions which will help maintain its leadership position in the Tyre Industry in India.

TYRE INDUSTRY SCENARIO

Tyre demand, being driven by the pace of economic activity, has shown appreciable growth in the 4 Wheeler Tyre segment. The pace of radialisation in the Commercial Tyre segment in India has accelerated during the year. Your Company enjoys a unique position in this growing segment and enjoys the No.1 status in the market.

JK TYRE - MARKET LEADER

JK Tyre continues to maintain its leadership in the 4 Wheeler Tyres. All the four Tyre plants of the Company operated at high capacities producing world class tyres. The Company continues its relentless drive towards improvement in productivity and operating efficiencies and launching of new products in the market.

COMMERCIAL TYRE SEGMENT

Commercial tyres are major contributors - almost 80% of revenue for Tyre industry. The Company continues to be a dominant player in truck, bus and LCV tyre segments. New products were introduced in the HCV and LCV segments to meet the ever changing consumer needs. 'JET ONE', a new Lug tyre, offering high mileage, launched during the year, is already enjoying a premier position in the truck and bus segment. 'JET-R MILES', a premium depth Rib tyre offering high mileage and high retreadability is receiving very encouraging market response.

V. K. Misra (Technical Director) receiving 'Amity Corporate Excellence Award - 2007'

In the LCV segment, the Company has introduced a wide range of tyres for various applications. 'JET ONE' range in LCV for high mileage and 'JET TRAK 39' for the heavy load segment are exceeding customer expectations and commanding premium status. The Company has also developed a new concept tyre for the sub one tonner LCVs which offers superior performance.

TRUCK RADIAL

The Company introduced All Steel Truck/Bus Radial tyres in India in the year 1999. This pioneering effort has started yielding rich dividends in terms of increased demand for the JK Truck Radials in the market. New Semi Lug and Rib pattern Truck Radials launched during the year, are performing extremely well in their respective segments.

Improvement in road infrastructure has led to surge in demand for truck/bus radials. To meet this

Mr Masahiro Takedagawa (President Honda SIEL, India) receiving the 'Indian Car Of The Year Award' sponsored by JK Tyre, from president A K Bajoria

Bus World 2007

growing demand, the capacity for these tyres is being more than doubled from 3.67 lac tyres to 8.00 lac tyres p.a. at an estimated cost of Rs.315 crores. This expansion, upon completion by end of calendar year 2008, will add significantly to the sales and profitability growth in the years ahead.

Your Company has launched several innovative programmes to enable customers realize true benefits of usage of radial tyres. Some of these initiatives include Fleet Management Programmes (FMP), Customer Relationship Management (CRM) and Tyre Care Centres (TCC).

FMP is a complete tyre care solution where customers are offered an assurance of reduction in Cost per Kilometer (CPKM) by constant monitoring and guidance. A tyre expert is attached to the Fleet for exclusive tyre maintenance service and data management. CRM programme "Radial Kings" launched in January, 2007 was aimed at Customer Retention. Tyre Care Centres - 18 nos., strategically located along the Golden Quadrangle, provide the infrastructure for Truck/Bus radial tyre repairs. These Tyre Care Centres offer round the clock facilities such as Inflation Pressure check up, Tyre fitment and rotation, Tyre cut repair facility, Service Tyre and Technical assistance and a host of other services.

LIGHT COMMERCIAL VEHICLE SEGMENT

This segment is undergoing rapid change with the emergence of the sub - 1 ton vehicles and a higher mileage application needs. Tyres for the successful Tata Ace have been introduced both in the radial and bias constructions. These have received excellent consumer response. Rapid radialisation is also taking place in this segment and JK Tyre, in anticipation, expanded in the recent past the LCV production capacity to meet the emerging market needs.

India-Mynamar Army car rally

Dr Raghupati Singhania with Chief of Army Staff General J J Singh & Defence Minister A K Antony

CAR RADIALS

India is fast emerging as global Automobile hub. The automobile industry is maturing and newer models are being introduced at a rapid pace. We have met this challenge successfully by introducing tyres at a matching pace. Product aesthetics, introduction of newer range, high performance tyres for new car models, continue to be an important focus area for the car radial segment.

It is a matter of great pride that JK Tyre is the exclusive supplier of certain OEMs for new generation world class cars such as Maruti-Suzuki's SX4 - ZXi, Swift, Mahindra - Ranault's Logan and M&M's Scorpio.

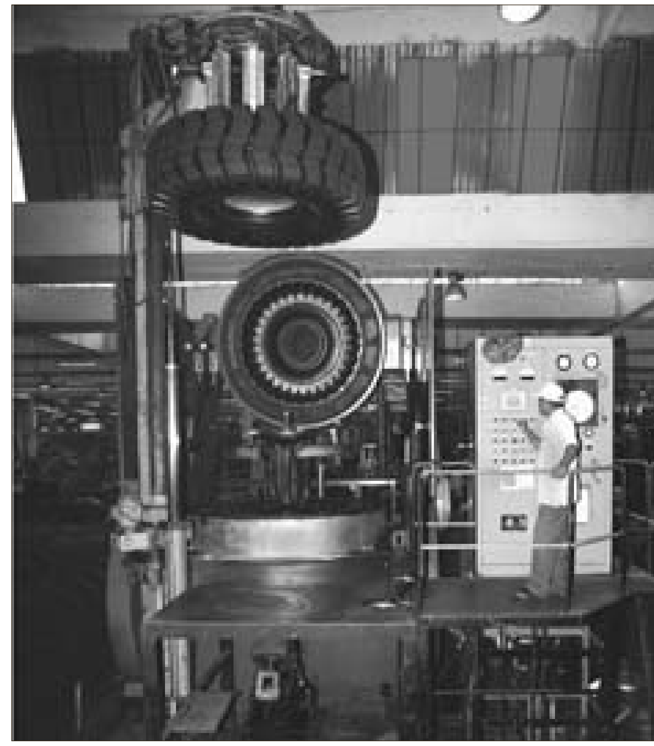
As the pioneers of Radials in India, JK Tyre continued to increase their product offering to the discerning customers and introduced directional V-rated Zephyr range of tyres which are suitable for speeds of 240 Kms per hour. Latest generation "Vectra" tyres won accolades from both OEMs and the consumers alike. It is a matter of pride that Z-rated Formula Racing Tyres capable of performing at 300 Kms and more per hour continued to be the delight of the motor sports fraternity in the country.

The prominence of the JK Tyre brand was further enhanced through a nationwide brand campaign in outdoor and select print media. An aggressive consumer connect campaign branded as "Cool Wheel", was conducted whereby 3.5 lakh customers were contacted in leading cities of the country. In addition, participative family events also enabled emotional bonding with the brand JK Tyre.

OFF THE ROAD TYRES (OTR)

Large investments in infrastructure and road construction network has ignited the demand for OTR tyres. Buoyancy in the mining industry has added further to the demand for these tyres.

The Company has recently entered into an arrangement with BEML, the leading OEM, to supply OTR tyres on a long term basis. For this purpose, the Company has undertaken a Greenfield project at Mysore estimated to cost Rs.120 crores. This expansion is expected to be completed before the end of calendar year 2008



Curing Press for 'Off the Road Tyre'

and will further strengthen our presence in this growing segment.

GLOBAL PRESENCE

During the year, the Company exported tyres worth Rs.481 crores - an all time high. This has been

HASETRI - Hari Shankar Singhania Elastomer & Tyre Research Institute, Kankroli - Rajasthan made possible by continued thrust on offering world class quality tyres and strengthening international network and building **"JK TYRE"** brand in the overseas markets. The Company has established an extensive distribution network spread across 75 countries over 6 continents.

Your Company has further enhanced outsourcing activities from China and other countries for our international markets in its own brand. It is a matter of great pride that "JK Tyre" is rated amongst premium brands in highly quality conscious global bias markets.

TECHNOLOGY

Being a pioneer of Radial Technology in India, your Company continues its zeal of maintaining technology leadership. Several world class models of cars have been launched in India on JK Radial Tyre - a testimony of Company's leadership in technology.

Z-rated Tyres capable of high speeds of 300 Kms/hour or more were launched during the year for the first time in India.

HARI SHANKAR SINGHANIA ELASTOMER & TYRE RESEARCH INSTITUTE (HASETRI), an independent institute dedicated to Elastomer and Tyre research, promoted by your Company is the driving force behind the Company's endeavour for technological advancement. Towards this endeavour, HASETRI is not only benchmarking technological capabilities but also collaborating with various National and International academic institutes to stay ahead on Technology front. The Centre of Excellence for Tyre and Vehicle Mechanics set up by the Company jointly with IIT- Madras, Chennai for predictive and simulative techniques using latest computational system, is the first such Centre in this field of Tyre Vehicle Mechanics and Dynamics technology and is actively involved in new development as well as performance improvement actions.

To further strengthen its capabilities for evaluation,

Lakshmipat Singhania - IIM Lucknow ' National Leadership Awards' H. S. Singhania, Dr Manmohan Singh along with distinguished winners

JK Tyre jointly with an auto major, has established its own test track for Tyre/Vehicle handling tests.

As a continuous endeavour to enhance process technology, significant quality improvement initiatives like process re-engineering, Total Productive Maintenance, modernisation and upgradation have been implemented in all our plants.

To significantly enhance state-of-the-art capability of high end product testing and evaluation techniques, the Company has invested large funds to create a facility, for the first time in India, by establishing infrastructure and installation of Universal Tyre Testing machine, precision PR measurement machine for entire range and various other latest physical and chemical characterisation equipment.

MOTOR SPORTS

JK Tyre continued to pulsate the world of Motor Sports in India in every sphere, be it Rallying, Racing or Karting.

A milestone was crossed with completion of the 10th year of JK Tyre National Formula Racing Championship. The new format with Formula LGB Swift, Formula LGB Hyundai, Rolon Formula Chevrolet completed the second year successfully and saw the emergence of fresh talent. The Z - rated tyres introduced for Formula Racing once again confirmed JK Tyre's technological prowess. For the second year in succession, JK Tyre was crowned Indian National Rally Champions 2006. JK Tyre National Rotax Karting Championship of which one round is a part of the Asian International Series was successfully completed. JK Tyre Prodigies Karun Chandhok, Armaan Ebrahim and Narain Karthikeyan unfurled Indian Tricolour with pride across the world.

SERVICE WITH SMILE

JK Tyre is committed towards providing high

JK Tyre National Racing Championship, Sriperumbudur

No. 1 in Technology

ONLY INDIAN COMPANY
TO HAVE ALL ADVANCE
TYRE TESTING MACHINES -
FLAT TRACK, ROLLING RESISTANCE,
LOAD DEFLECTION,
STIFFNESS, DYNAMIC IMBALANCE
AND UNIFORMITY

No. 1 in Technology

ONLY TYRE COMPANY
TO HAVE A RESEARCH CENTRE IN COLLABORATION
WITH IIT, MADRAS -
'RAGHUPATI SINGHANIA CENTRE OF
EXCELLENCE FOR TYRE & VEHICLE MECHANICS'

satisfaction to all its customers through several initiatives which transcend the entire pre-sales and post sales processes.

Mr. Suresh Kalmadi flagging off JK Tyre Vintage Car Rally at Pune Festival

It has made focussed efforts in offering superior services through all major touch points to its customers. This has resulted in one to one interaction with over 19,000 customers via various partnered campaigns and a number of specialized outdoor training programmes.

The high end demanding car tyre customers are serviced through one of the largest chain of Car Radial outlets - "Steel Wheels", while the high-tech Truck/Bus Radial customers utilize the cutting edge services offered by the "Truck Radial Tyre Care Centres" spread across the country. Your Company has also entered into various tie-ups with rural retail hubs for reaching out to the Farm sector.

HUMAN RESOURCE DEVELOPMENT

Your Company has always believed in nurturing talent and made significant investments in enhancing the skill sets of employees across all levels and has also partnered with various academic institutions for formal education in allied fields.

Formation of Young Leaders Forum and Competency Based Assessment Process for the Talent Pool and Leadership Development programmes are being pursued in the Company.

FINANCIAL STATEMENT

		(Rs. Crores)
PARTICULARS	**2006-07**	**2005-06**
Sales & other Income	3206.21	2970.30
Operating Profit (PBIDT)	265.20	168.88
Interest	89.04	76.15
Profit Before TAX (PBT)	100.75	21.80
Provision for Tax/(Credit)	34.02	4.75
Net Profit	66.73	17.05

S C Jain (BU Head, KTP) receiving the Greentech Award

During the year under review, operating profit of the company increased by 57% and net profit by 291%. The profits of the Company increased mainly due to continued efforts for aggressive cost reduction, improved internal operational efficiencies, product mix enrichment and better realization during the year, besides favourable input costs.

INTERNAL CONTROL SYSTEM

The philosophy of the Company with regard to adequacy of internal control system has been the formulation of effective systems and their strict implementation to ensure that assets and interests of your Company are safeguarded, checks and balances are put in place to determine the accuracy and reliability of financial data. Your Company has an Internal Audit Department which prepares the audit programmes of all Units/Offices to cover significant areas to ensure conformance with internal checks and controls. The Internal Audit Department carries out extensive audits throughout the year covering all areas of operations and the reports are reviewed by senior management and placed before Audit Committee of the Board of Directors along with actions taken.

Management Information System (MIS) is the backbone of the Company's review and monitoring system. All the efficiency parameters are reviewed with reference to the annual targets and budgets. Annual budgets and targets are placed before the Board and material deviations are reported to the Board on quarterly basis. Effective budgetary control system is in place and has resulted into significant savings.

CAUTIONARY STATEMENT

"Management Discussion and Analysis Report" contains forward-looking statements, which may be identified by the use of the words in that direction, or connoting the same. All statements that address expectations or projections about the future, including but not limited to, statements about your Company's strategy for growth, product development, market position, expenditures and financial results are forward looking statements.

Your Company's actual results, performance or achievements could thus differ materially from those projected in such forward - looking statements. The Company assumes no responsibility to publicly amend, modify or revise any forward - looking statements on the basis of any subsequent development, information or events.


Kankroli tyre plant

CORPORATE GOVERNANCE REPORT

1. COMPANY'S PHILOSOPHY ON CODE OF GOVERNANCE:

Corporate Governance is an integral part of values, ethics and the best business practices followed by the Company. The Company reaffirms its commitment to the good Corporate Governance practices. The core values of the Company are:

- Commitment to excellence and customer satisfaction
- Maximising long term shareholders' value
- Socially valued enterprise and
- Caring for people and environment.

In a nutshell, the philosophy can be described as observing of business practices with the ultimate aim of enhancing long-term shareholders' value and commitment to high standard of business ethics. The Company has in place a Code of Corporate Ethics and Conduct reiterating its commitment to maintain the highest standards in its interface with stakeholders and clearly laying down the core values and corporate ethics to be practiced by its entire management cadre.

2. BOARD OF DIRECTORS:

The Board of Directors presently consists of Eleven Directors of which four are Executive Directors, Seven Non-Executive Directors (NED), out of which six are Independent Directors (IND). The Chairman is Non-Executive. Four Board Meetings were held during the 12 months period from 1st October 2006 to 30th September 2007, on 26th October 2006, 30th January 2007, 27th April 2007 and 30th July 2007. Attendance and other details are as given below:

The Board periodically reviews Compliance Reports of all laws applicable to the Company and has put in place procedure to review steps to be taken by the Company to rectify instances of non-compliances, if any.

The Company has a Code of Conduct in position for Management Cadre Staff (including Executive Directors). In terms of the provisions of Clause 49 of the Listing Agreement and contemporary practices of good Corporate

Director	Category	Number of Board Meetings Attended	Whether last AGM attended	No. of other directorships and Committee Memberships/ Chairmanships		
				Other Director-ships $	Committee Memberships **	Committee Chairmanships **
Shri Hari Shankar Singhania, Chairman	NED	4	Yes	2	-	-
Shri Raghupati Singhania, Vice Chairman & Managing Director	Executive	4	Yes	6	2	1
Shri Arvind Singh Mewar	IND	4	Yes	-	-	-
Shri Bakul Jain	IND	1	Yes	2	1	-
Smt. Sobha Nambisan, IAS	IND	3	No	7	1	-
Dr. Vinayshil Gautam (IDBI Nominee) ¢	IND	4	Yes	4	1	-
Shri O P Khaitan	IND	3	No	8	3	1
Shri Bharat Hari Singhania, Managing Director	Executive	4	Yes	3	1	-
Shri Vikrampati Singhania, Dy. Managing Director	Executive	4	Yes	2	1	1
Shri S C Sethi, Whole- time Director	Executive	4	Yes	7	5	1
Shri G B Pande (LIC Representative) #	IND	2	Yes	1	-	-
Shri Arvind Narottam Lalbhai *	IND	-	No	-	-	-
Shri R.K.Vashishtha (LIC Representative)#	IND	N.A.	N.A.	1	1	-

* Resigned with effect from 21st April, 2007.
\# Shri G.B. Pande – Representing LIC of India was appointed as Additional Director w.e.f. 30th January 2007 in place of Shri R.K. Vashishtha who ceased to be a Director w.e.f. 26th October 2006. Lender/Investor
¢ Lender/Investor
$ As per Section 275 read with Section 278 of the Companies Act 1956
** Only covers Memberships/Chairmanships of Audit Committee and Shareholders/Investors Grievance Committee
N.A. Not Applicable

Governance, the Board has laid down a Code of Conduct for all Board Members and Senior Management of the Company and the same is available on the website (www.jktyre.com). All the Board Members and Senior Management Personnel have affirmed compliance with the Code.This Report contains a declaration to this effect signed by CEO.

3. AUDIT COMMITTEE :

The Company has an Audit Committee of Directors since 1986. The 'Terms of Reference' of the Committee are in conformity with the provisions of Section 292A of the Companies Act, 1956 and Clause 49 of the Listing Agreement with the Stock Exchanges.

The Committee consists of three non-executive Independent Directors namely Shri O.P. Khaitan (Chairman of the Committee), Shri A.S. Mewar and Dr. Vinayshil Gautam and one Executive Director viz. Shri S.C. Sethi. Vice Chairman and Managing Directors and Dy. Managing Director are permanent invitees.The Chief Finance Officer regularly attends the Committee meetings and the Company Secretary acts as the Secretary of the Committee. Four meetings of the Audit Committee were held during the year ended 30th September 2007. Dates of the meetings and the (number of the Members attended the meetings) are: 26th October 2006(4), 30th January 2007(4) , 27th April 2007 (3) and 30th July 2007(4).The Statutory Auditor attended three Committee meetings.

4. SHAREHOLDERS/ INVESTORS GRIEVANCE COMMITTEE:

The Company has Shareholders/ Investors Grievance Committee at the Board level which consists of four Directors namely Dr. Vinayshil Gautam (Chairman of the Committee),Shri O.P. Khaitan, both being non-executive Independent Directors, Shri S.C. Sethi, Whole-time Director and Shri Vikrampati Singhania, Dy. Managing Director. The composition of the Committee is in conformity with Clause 49(IV)(G)(iii) of the Listing Agreement.

Four meetings of the said Committee were held during the year ended 30th September 2007. Dates of the meetings and the (number of the Members attended the meetings) are: 26th October 2006(4), 30th January 2007(4), 27th April 2007 (3) and 30th July 2007(4). Shri P K Rustagi, Vice President (Corp. Laws) & Secretary is the Compliance Officer. There were five Investor Grievances during the financial year 2006-2007, out of which four were settled to the satisfaction of the shareholders and one investor grievance was pending at the close of the financial year.

The Board has delegated the power of share transfer to a Committee of Directors and the share transfer formalities are attended as required. All valid requests for transfer of shares in physical form were processed in time and there were no pending transfers of shares. During the year ended 30th September 2007, 23 Meetings of this Committee were held.

5. REMUNERATION COMMITTEE (Non-Mandatory):

Remuneration Committee comprising of Shri Arvind Singh Mewar, Dr. Vinayshil Gautam and Shri O.P. Khaitan, all being non-executive Independent Directors was constituted on 30th January, 2007, to consider and approve remuneration, for five years term commencing from 1st October 2006, of Shri Raghupati Singhania as Vice Chairman & Managing Director and Shri Bharat Hari Singhania as Managing Director. Meeting of this Committee was held on 30th January 2007 under the Chairmanship of Dr.Vinayshil Gautam.

Again a Remuneration Committee was constituted on 27th April 2007 comprising of Shri Arvind Singh Mewar, Dr. Vinayshil Gautam and Shri G.B. Pande, all being non-executive Independent Directors, to consider and approve remuneration, for five years term commencing from 1st April, 2007 of Shri Vikrampati Singhania as Dy. Managing Director. Meeting of this Committee was held on 27th April, 2007 under the Chairmanship of Shri Arvind Singh Mewar.

6. REMUNERATION PAID TO DIRECTORS:

i) Executive Directors: The aggregate value of salary, perquisites and contribution to Provident Fund and Superannuation Funds for the year ended 30th September, 2007 to the Vice Chairman & Managing Director, Managing Director, Dy. Managing Director and Whole-time Director is as follows; Shri Raghupati Singhania Rs.117.68 lacs plus Rs.230.30 lacs payable as Commission, Shri Bharat Hari Singhania Rs.15.24 lacs plus Rs.230.30 lacs payable as Commission, Shri Vikrampati Singhania Rs.90.73 lacs plus Rs.230.30 lacs payable as Commission and Shri Swaroop Chand Sethi Rs.47.19 lacs plus Rs.12.90 lacs payable as Commission .

The Company does not have any Stock Option Scheme. In the case of Whole-time Director, notice period is six months. Severance Fees for the Vice Chairman & Managing Director, Managing Director and Dy. Managing Director is remuneration for the unexpired residue of respective terms or for three years, whichever is shorter.

ii) Non-Executive Directors: The Company has paid sitting fees aggregating to Rs. 3,49,500/- to all non-executive Directors for attending the meetings of the Board and / or Committees thereof. In addition to sitting fees, commission payable to Shri Hari Shankar Singhania, Chairman is Rs. 55 lacs and Rs.6 lacs to each of the other non-executive Directors and Rs.3.50 lacs to Shri Arvind Narottam Lalbhai (proportionately for 7 months).

Non- executive Directors did not have any other pecuniary relationship or transaction vis-à-vis the Company during the year except as stated above.

The number of Equity Shares (Shares) held by the non-executive Directors as on 30th September 2007 are: Shri Hari Shankar Singhania- 1,13,645 Shares, Shri Arvind Singh Mewar- Nil Shares, Shri Bakul Jain- 336 Shares, Shri G.B. Pande- Nil Shares, Smt. Sobha Nambisan- Nil Shares, Shri O P Khaitan- 2052 Shares and Dr. Vinayshil Gautam- Nil Shares. The Company does not have any outstanding convertible instruments.

7. GENERAL BODY MEETINGS:

Location and time for the last three Annual General Meetings (AGM) of the Company were :

Year	Location	Date	Time
2003-2004	Shripati Singhania Hall, Rotary Sadan, 94/2, Jawahar Lal Nehru Road (Chowringhee Road), Kolkata - 700 020	26.02.2005	11.30 A.M.
2004-2005	Same as above	11.03.2006	11.30 A.M.
2005-2006	Same as above	28.03.2007	11.30 A.M.

Four Special Resolutions were passed in the last AGM (2007) and two Special Resolutions were passed in the AGM held in 2005. No Special Resolution was passed in the AGM held in 2006. No Special Resolutions were required to be put through postal ballot during the year.

8. (a) Disclosures on materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters, the directors or the management, their subsidiaries or relatives etc. that may have potential conflict with the interests of company at large :

None. Suitable disclosure as required by Accounting Standard (AS-18) - Related Party Transactions has been made in the Annual Report.

(b) Details of non-compliance by the Company, penalties, strictures imposed on the Company by Stock Exchanges or SEBI or any statutory authority, on any matter related to capital markets, during the last three years.

There were no cases of non-compliance of any matter related to capital markets during the last three years.

(c) The Company has strengthened its risk management system and has further laid down procedures to inform Board Members about risk assessment and minimization procedures. These procedures are being periodically reviewed to ensure that executive management controls risk through means of a properly defined framework.

9. MEANS OF COMMUNICATION :

Quarterly, half-yearly and annual results are normally published in leading English Dailies like Economic Times/Business Standard, Bengali Newspapers Ananda Bazar Patrika/Bartaman, Kolkata and promptly furnished to the Stock Exchanges for display on their respective websites. The results are also displayed on the Company's website 'www.jktyre.com'. Full version of the Annual Report, Corporate Governance Report, Financial Results and Shareholding

Pattern of the Company are posted as applicable on the Electronic Data Information Filing and Retrieval (EDIFAR) website namely 'www.sebiedifar.nic.in'. The website is also accessible through a hyperlink 'EDIFAR' from SEBI's official website, 'www.sebi.gov.in'.

Management Discussion & Analysis forms part of the Annual Report.

10. GENERAL SHAREHOLDERS INFORMATION :

(i) Registered Office — 7, Council House Street, Kolkata-700 001. Phone No: 033-22486181

(ii) Annual General Meeting (AGM)

(a) Date, Time & Venue — Wednesday, 26th March, 2008 at Shripati Singhania Hall, Rotary Sadan, 94/2, Jawahar Lal Nehru Road (Chowringhee Road), Kolkata - 700 020 at 3 p.m.

(b) As required under Clause 49(IV)(G)(i), a brief resume and other particulars of Directors seeking appointment or retiring by rotation and seeking re-appointment at the aforesaid AGM are given in the Notes to the Notice convening the said Meeting.

(iii) Financial Calendar (tentative)

Financial Reporting for the quarter ending:	During:
• 1st Quarter ending December 31, 2007	January, 2008
• 2nd Quarter ending March 31, 2008	April, 2008
• 3rd Quarter ending June 30, 2008	July, 2008
• 4th Quarter ending September 30, 2008	November/ December, 2008
• Annual General Meeting for the financial year 2007-08	Between February and March, 2009

(iv) Dividend Payment Date — During April 2008

(v) Date of Book Closure — 24th March to 26th March, 2008

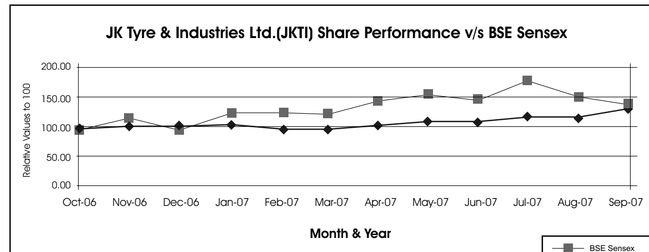
(vi) Listing on Stock Exchanges — The Equity Shares of the Company are listed on the Stock Exchanges at Calcutta and Mumbai(both BSE and NSE). The annual listing fees for the financial year 2007-08 has been paid to all the aforesaid Stock Exchanges.

(vii) Security Code for Company's Equity Shares on Stock Exchanges and ISIN No. — BSE - 530007, Calcutta - 10020252 and NSE - JKTYRE ISIN No. INE573A01034.

(viii) Stock Market Price Data

Month	Bombay Stock Exchange (BSE)		National Stock Exchange (NSE)	
	High (Rs.)	Low (Rs.)	High (Rs.)	Low (Rs.)
2006				
October	158.70	117.65	158.60	117.50
November	147.65	117.50	147.50	118.00
December	145.00	115.00	145.00	105.10
2007				
January	153.50	123.00	153.80	123.20
February *				
March	159.90	107.90	149.00	108.00
April	145.00	102.80	146.45	102.00
May	149.50	125.00	144.95	121.25
June	148.25	127.00	145.00	127.10
July	165.00	130.50	165.00	129.90
August	160.00	127.00	160.00	123.25
September	140.00	125.50	137.50	125.00

* To give effect to the Scheme of Arrangement and Demerger between the Company and Netflier Technologies Ltd. (name since changed to Netflier Finco Ltd.), 27th January 2007 was notified as the Record Date and trading in the Equity Shares issued pursuant to the Scheme commenced from 19th March, 2007. Accordingly, stock market price data for the month of February, 2007 is not available.



(The Share prices from March 2007 onwards have been adjusted for split of Equity Capital between the Company and Netflier Finco Ltd. , for the purposes of graph.)

(ix) Distribution of Shareholding (as on 30.09.2007):

No. of Equity Shares Held	No. of Shares		Share holders	
	Total	% of Total	Number	% of Total
1-250	1050186	3.41	18160	88.64
251-500	370882	1.20	1056	5.15
501-1000	437392	1.42	614	3.00
1001-5000	1122238	3.65	483	2.35
5001-10000	462960	1.50	67	0.33
10001 & Above	27350852	88.82	108	0.53
Total	30794510	100	20488	100

(x) Share Transfer System

The transfer/transmission of shares in physical form is normally processed and completed within a period of 15-20 days from the date of receipt thereof. In case of shares in electronic form, the transfers are processed by NSDL/CDSL through the respective Depository Participants.

(xi) Dematerialisation of Shares and liquidity

Trading in the Equity Shares of the Company is permitted only in dematerialised form. Shareholders may dematerialise their holdings with any one of the Depositories namely, NSDL and CDSL. As on 30th September 2007, 96.93% of the Equity Shares were dematerialised. The Equity Shares of the Company are actively traded on BSE and NSE.In respect of shares held in demat form, all the requests for nomination, change of address and rematerialisation etc. are to be made only to the Depository Participant with whom the shareholders have opened their Demat Account.

(xii) Outstanding GDRs/ADRs/Warrants/Options :
or any Convertible instruments, conversion - NIL
date and likely impact on equity

(xiii) Plant Locations

JK Tyre:	Jaykaygram, Rajasthan
	Banmore, Madhya Pradesh
Vikrant:	Mysore Plant I, Karnataka
	Mysore Plant II, Karnataka

(xiv) Address for Correspondence for Share Transfer and Related Matters

1. Vice President (Corp.Laws) & Secretary, JK Tyre & Industries Ltd., Secretarial Department, Gulab Bhawan, 6A, Bahadur, Shah Zafar Marg, New Delhi -110 002.
Ph. 23311112-5 (Extn. 163). Email: investorjktyre@jkmail.com

2. Registrar & Share Transfer Agent, Alankit Assignments Ltd., Alankit House, 2E/21, Jhandewalan Extension, New Delhi-110055 (India)
Phone :91-11-23541234, Fax No: 91-11-23552001
Email: info@alankit.com, Website: www.alankit.com

11. DECLARATION :

This is to confirm that all the Directors and Senior Management Personnel of the Company have affirmed compliance with the Code of Conduct for Directors and Senior Management adopted by the Board.

Raghupati Singhania
Vice Chairman & Managing Director

12. AUDITOR'S COMPLIANCE CERTIFICATE ON CORPORATE GOVERNANCE:

To
The Members of JK Tyre & Industries Ltd.

We have examined the compliance of conditions of Corporate Governance by JK Tyre & Industries Ltd. for the financial year ended 30th September 2007, as stipulated in Clause 49 of the Listing Agreement of the said Company with the Stock Exchanges.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

We further state that such compliance is neither an assurance as to future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner
Membership No. 85155

Place : New Delhi
Dated : 29th January, 2008

Disclosure of names of persons constituting group in relation to JK Tyre & Industries Ltd. pursuant to Regulation 3(1)(e)(i) of the SEBI (Substantial Acquisition of Shares & Takeovers) Regulations 1997

JK Lakshmi Cement Ltd., JK Tyre & Industries Ltd.,Netflier Finco Ltd, Hansdeep Investment Ltd., Panchanan Investment Ltd., Radial Finance Ltd., Hidrive Finance Ltd., JK Paper Ltd., Fenner (India) Ltd.,BMF Investments Ltd., Southern Spinners and Processors Ltd.,Modern Cotton Yarn Spinners Ltd., JK Agri Genetics Ltd., Florence Alumina Ltd., JK Sugar Ltd., Bengal & Assam Company Ltd., Navbharat Vanijya Ltd., Juggilal Kamlapat Udyog Ltd., Pranav Investment (MP) Company Ltd., Param Shubham Vanijya Ltd., JK Credit & Finance Ltd., Ashim Investment Company Ltd., Mayfair Finance Ltd., Sidhi Vinayak Investment Ltd., Terrestrial Finance Ltd., Yashodhan Investment Ltd., Accurate Finman Services Pvt. Ltd., Bhopal Udyog Ltd., Sago Trading Ltd.,Rouncy Trading Pvt. Ltd.,JK Risk Managers and Insurance Brokers Ltd., Swasthya Medicare Services Ltd., Saptrishi Consultancy Services Ltd., Dwarkesh Energy Ltd., LVP Foods Pvt. Ltd., JK Enviro-Tech Ltd., M/s Habras International,M/sJuggilal Kamlapat Lakshmipat and Directors of the promoter group and their relatives.

SOCIAL RESPONSIBILITY & COMMUNITY SERVICE

JK Tyre is committed to its social responsibility and community service obligations as a responsible corporate citizen. We believe in the principle of giving back to the society and the environment which has provided us the natural resources and the support for our sustenance. To enrich the quality of life of people at our workplaces and in the areas surrounding, and to help them lead a healthier and more meaningful life, your Company has implemented a number of social development programmes.

HEALTH CARE

JK Tyre has been running and supporting a number of health programmes for various sections of society. Besides running a number of health and

Pushpawati Singhania Research Institute, New Delhi

medical programmes for the employees at different locations, JK Tyre is also actively organizing health camps and specialised care centres for people habitating in and around the areas we operate from.

Free Medical Camps were organised at our Tyre Plants in collaboration with various reputed hospitals in rural areas where no medical facilities

Jeevan Kiran - Ensuring the health of drivers

are available. Around 1000 people availed the benefit of general medical treatment. A wide range of programmes were organized across all our locations which included Eye Camps covering 2500 people for eye testing and 500 eye

JK Tyre supporting rural sports

operations at Banmore. In collaboration with District Hospital, Programme on Development of Mentally Retarded Children was supported by donations as well as contributions made by employees of Vikrant Plant at Mysore.

Under a Population Control Programme titled "Parivartan" in collaboration with Population Foundation of India, your Company has adopted

JK Tyre umbrellas providing shelter in a busy market

60 villages benefiting 45,000 people of Rajsamand District (Rajasthan). Services such as Ante-Natal check-up, Post Natal check-up, Immunization, Growth Monitoring of children upto 5 years, identification and treatment of various diseases and other common ailments are provided free of cost to the deprived and downtrodden, resulting in significant reduction in Maternal and Child Mortality rates. The programme also regularly counsels and motivates the community members on issues of Family Welfare and Population Control, including free distribution of contraceptives.

Your Company is a founder of "Pushpawati Singhania Research Institute" (PSRI) which is a Super Speciality Hospital for Digestive, Liver and Renal Diseases, located in Delhi. The Institute also organises a number of health care programmes viz., Free Medical check-ups for weaker sections of society, Blood Donation Camps - to mention a few.

Prevention of HIV/AIDS is an area where JK Tyre continues to support clinics in association with TCI and the Bill & Melinda Gates Foundation. Located on the National Highway/ Transport Nagar, these target truck drivers and their helpers considered to be highly vulnerable to the diseases. So far, more than 12,000 persons have been attended to at such clinics for various ailments, of which 25% were treated for sexually transmitted infections. We also support "Infotainment Melas" which are held near these clinics, where education is combined with entertainment for spreading the message for HIV/AIDS awareness.

JK Tyre supplying water to drought stricken areas in Rajasthan

Parivartan project for the special care of mother - child, as well as for health and treatment in rural villages

EDUCATION

Your Company plays its humble role in the task of nation building by pursuing the noble cause of providing education to the people of the society, directly as well as indirectly. With this belief, Lakshmipat Singhania School at Jaykaygram was established. Students from the school have excelled in entire Rajasthan. Your Company is also helping and supporting various educational institutions for promoting quality education for the children in villages. This includes free distribution of books, computers etc.

Other activities undertaken at various locations include Adult Literacy Programmes in remote and backward villages, adjoining Mysore (Karnataka), Kankroli (Rajasthan) and Banmore (Madhya Pradesh) at 33 locations benefiting 3,500 people, Children Career Counseling at Mysore covering 500 children, Mid Day Meal programmes and running 10 Nos. of Ekal Vidyalaya in remote villages of Rajasthan.

ENVIRONMENT

Environment Management is taken up as a critical function at all our locations. Massive plantation programmes have been organized at all the manufacturing locations for improving ecology. In the last five years, 1,00,000 trees have been planted as JK Tyre's environment conservation effort.

In an effort to increase greenery in the surrounding villages, public parks have been adopted and are being maintained by JK Tyre. More so, assistance is provided to Government authorities for maintenance of civic amenities like parks, bus shelters, etc. Public conveniences have also been constructed by the Company at village schools in Mysore.

Neighbouring villages have been adopted and temporary water huts are provided during summer months.

The Company arranges spraying of special chemicals on large water bodies with a view to minimize water evaporation losses in summer months and conserve water.

No. 1 in Customer Care

1ST AND THE ONLY TYRE COMPANY WITH
CUSTOMER RELATIONSHIP MANAGEMENT,
REPLACEMENT SERVICE/TEMPORARY TYRE,
FLEET MANAGEMENT PROGRAMS
AND 24X7 TYRE CARE CENTERS ACROSS INDIA

No. 1 in Innovation

1ST COMPANY IN INDIA TO LAUNCH
"ECO-FRIENDLY GREEN TYRES"
AND TO BE RECOGNISED
A 'SUPERBRAND' BY
GLOBAL ADVERTISING PROFESSIONALS

SPORTS

Team spirit among our employees is fostered through activity of sports. The facilities are also extended to the games and sports enthusiasts of the neighbouring areas. Our entities are involved in conducting various sports events, apart from promoting indoor and outdoor sports facilities for our employees.

The Company also sponsored Indian Jaycee's Gwalior Alankaran Samaroh 2007 wherein eminent personalities of different fields were honoured.

JK Tyre is known for its pioneering effort in the area of Motor Sports, having started "JK Tyre National Racing Championship" in 1997 and "JK Tyre National Karting Championship" in 2000, both being annual features. This unique effort has contributed to the society by nurturing talent such as Narain Karthikeyan, Karun Chandhok and Armaan Ebrahim besides many others and putting India on the World Car Racing Map.

JK Tyre Asian Rotax Karting Championship

AUDITORS' REPORT

TO THE MEMBERS

We have audited the attached Balance Sheet of JK Tyre & Industries Limited as at 30th September, 2007, the Profit and Loss Account and also the Cash Flow Statement of the company for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with the auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by Management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

1. As required by the Companies (Auditor's Report) Order, 2003 (as amended) (The Order) issued by the Central Government of India in terms of Section 227 (4A) of the Companies Act, 1956 (The Act), and on the basis of such checks of the books and records of the company as we considered appropriate and according to the information and explanations given to us during the course of audit, we enclose in the Annexure, a statement on the matters specified in the paragraphs 4 and 5 of the said Order.
2. Further to our comments in the Annexure referred to in Paragraph 1 above, we report that:
   (a) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
   (b) In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
   (c) The Balance Sheet, Profit & Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of account;
   (d) In our opinion, Balance Sheet, Profit & Loss Account and Cash Flow Statement dealt with by this report comply with the Accounting Standards referred to in Section 211 (3C) of the Companies Act, 1956;
   (e) As per the information and explanations given to us, none of the directors of the Company is disqualified from being appointed as a director under clause (g) of sub-section (1) of section 274 of the Companies Act, 1956.

In our opinion and to the best of our information and according to the explanations given to us, the said accounts read together with Notes thereon, give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:

i) In the case of Balance Sheet, of the state of affairs of the Company as at 30th September, 2007;

ii) In the case of the Profit & Loss Account, of the Profit for the year ended on that date; and

iii) In the case of the Cash Flow Statement, of the cash flows for the year ended on that date.

For LODHA & CO.
Chartered Accountants

N. K. LODHA
Partner
Membership No. 85155

New Delhi, the 29th January, 2008

ANNEXURE TO THE AUDITORS' REPORT

(Referred to in paragraph (1) of our Report of even date of JK Tyre & Industries Limited (Formerly J.K. Industries Limited) for the year ended 30th September, 2007)

1. (a) The Company has maintained proper records showing full particulars including quantitative details and situation of fixed assets.
   (b) The fixed assets have been physically verified by the Management according to the programme of periodical verification in phased manner, which in our opinion is reasonable having regard to the size of the Company and the nature of its fixed assets. The discrepancies noticed on such physical verification were not material.
   (c) As per the records and information and explanations given to us, fixed assets disposed off during the year were not substantial.
2. (a) The Inventory of the Company (except stock lying with third parties and in transit, for which confirmations have been received / materials received) has been verified by the Management at reasonable intervals.
   (b) The procedures of physical verification of inventory followed by the Management are reasonable and adequate in relation to the size of the Company and nature of its business.
   (c) The Company is maintaining proper records of inventory. The discrepancies noticed on such physical verification of inventory as compared to book records were not material.
3. The Company has neither granted nor taken any loans, secured or unsecured to and from companies, firms or other parties as covered in the register maintained under section 301 of the Companies Act, 1956. Accordingly, the provisions of clause 4 (iii) (b) to (d), (f) & (g) of the Order are not applicable.
4. In our opinion and according to the information and explanations given to us, there is adequate internal control system commensurate with the size of the Company and the nature of its business for the purchase of inventory and fixed assets and for the sale of goods and services. Based on the audit procedure performed and on the basis of information and explanations provided by the Management, during the course of our audit we have not observed any continuing failure to correct major weaknesses in internal control system.
5. According to the information and explanations provided by the Management and based upon audit procedures performed, we are of the opinion that the particulars of contracts or arrangements referred to in section 301 of the Act have been entered in the register required to be maintained under that section and the transactions made in pursuance of such contracts or arrangements (exceeding the value of five lakh rupees in respect of each party during the financial year) have been made at prices which are generally reasonable having regard to the prevailing market prices at the relevant time.

6. In our opinion and according to the information and explanations given to us, the Company has complied with the directives issued by the Reserve Bank of India and the provisions of Sections 58A and 58AA or any other relevant provisions of the Act and the rules framed thereunder with regard to deposits accepted from the public. According to the information and explanations given to us, no order has been passed by the Company Law Board or National Company Law Tribunal or Reserve Bank of India or any Court or any other Tribunal in this regard.

7. In our opinion, the Company has an internal audit system commensurate with the size of the Company and nature of its business.

8. We have broadly reviewed the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 209(1)(d) of the Act in respect of the Company's products to which the said rules are made applicable and are of the opinion that prima facie, the prescribed records have been made and maintained. We have, however, not made a detailed examination of the said records with a view to determine whether they are accurate or complete.

9. (a) According to the records of the Company, the Company is generally regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income tax, Sales tax, Wealth tax, Service tax, Custom duty, Excise duty, Cess and other material statutory dues with the appropriate authorities to the extent applicable and there are no undisputed statutory dues payable for a period of more than six months from the date they became payable as at 30th September, 2007.

(b) According to the records and information & explanations given to us, there are no dues in respect of Custom duty, Wealth tax and Cess that have not been deposited with the appropriate authorities on account of any dispute and the dues in respect of Income tax, Sales tax, Excise duty and Service tax that have not been deposited with the appropriate authorities on account of dispute and the forum where the dispute is pending are given below:

Name of the Statute	Nature of the dues	Amount (Rs. in Lacs)	Forum where dispute is pending
Income Tax Act	Income Tax	103.51	Commissioner Appeals
Sales Tax Act	Sales Tax	23.95	Appellate Authority
		20.72	High Court
Central Excise Act	Excise Duty	4.89	Additional Commissioner
		88.75	Commissioner
		47.40	Commissioner Appeals
		85.23	Tribunal
		185.41	CESTAT
		29.00	High Court
		19.68	Supreme Court
Finance Act	Service Tax	30.83	Commissioner Appeals
The Rajasthan Tax on Entry of Goods into Local Area Act, 1999	Entry Tax	78.85	High Court

Read with note no. B15 of Schedule 14.

10. The Company does not have accumulated losses at the end of the financial year and has not incurred cash losses in the current financial year and in the immediately preceding financial year.

11. In our opinion, on the basis of audit procedures and according to the information and explanations given to us, the company has not defaulted in repayment of dues to financial institutions or banks or debenture holders.

12. According to the information and explanations given to us, the company has not granted any loans and advances on the basis of security by way of pledge of shares, debentures and other securities.

13. The Company is not a chit fund or a nidhi / mutual benefit fund / society, therefore, the provisions of clause 4(xiii) of the said Order are not applicable to the Company.

14. In our opinion, the Company is not dealing in or trading in shares, securities, debentures and other investments.

15. According to the information and explanations given to us, the Company has given guarantees/letter of comfort for loans taken by bodies corporate from Banks and Financial Institutions as stated in Note no. B6 of Schedule 14. In our opinion, the terms and conditions on which the Company has given guarantees / letter of comfort for loans taken by others from bank or financial institutions are not prima facie prejudicial to the interest of the Company.

16. In our opinion, on the basis of information and explanations given to us, the term loans were applied for the purposes for which the loans were obtained.

17. On the basis of information and explanations given to us, and on an overall examination of the financial statements of the Company, no funds raised on short-term basis have been used for long-term investment.

18. According to the information and explanations given to us, the Company has not made any preferential allotment of shares during the year to any parties or companies covered in the Register maintained under section 301 of the Companies Act, 1956.

19. On the basis of records made available to us and according to the information and explanations given to us, the Company has created securities as stated in footnote (1) of Schedule 3 in respect of debentures outstanding during the year.

20. The Company has not raised any money through a public issue during the year.

21. Based on the audit procedure performed and on the basis of information and explanations provided by the Management, no fraud on or by the Company has been noticed or reported during the course of the audit.

For LODHA & CO.
Chartered Accountants

N. K. LODHA
Partner
Membership No. 85155

New Delhi, the 29th January, 2008

BALANCE SHEET

AS AT 30th SEPTEMBER, 2007 **Rs.in Crores (10 Million)**

	Schedule	30.09.2007	30.09.2006
SOURCES OF FUNDS			
SHAREHOLDERS' FUNDS			
CAPITAL	1	**30.79**	30.79
RESERVES AND SURPLUS	2	**503.13**	560.93
		533.92	591.72
LOANS	3		
SECURED LOANS		**686.82**	724.77
UNSECURED LOANS		**228.13**	219.10
		914.95	943.87
DEFERRED TAX		**105.32**	–
		1554.19	1535.59
APPLICATION OF FUNDS			
FIXED ASSETS	4		
GROSS BLOCK		**2156.07**	2084.22
LESS: DEPRECIATION		**957.27**	860.03
NET BLOCK		**1198.80**	1224.19
CAPITAL WORK IN PROGRESS		**20.34**	22.51
		1219.14	1246.70
INVESTMENTS	5	**62.60**	61.46
DEFERRED TAX		**–**	1.61
CURRENT ASSETS, LOANS AND ADVANCES	6	**1100.18**	1013.52
LESS: CURRENT LIABILITIES AND PROVISIONS	7	**835.95**	796.86
NET CURRENT ASSETS		**264.23**	216.66
MISCELLANEOUS EXPENDITURE (To the extent not written off or adjusted)		**8.22**	9.16
		1554.19	1535.59
ACCOUNTING POLICIES AND NOTES ON ACCOUNTS	14		

Schedules 1 to 7 and 14 attached to the Balance sheet are an integral part thereof.

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

P.K. RUSTAGI
Secretary

New Delhi, the 29th January, 2008

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

PROFIT & LOSS ACCOUNT

FOR THE YEAR ENDED 30th SEPTEMBER, 2007 **Rs.in Crores (10 Million)**

	Schedule		2006-2007		2005-2006
INCOME					
SALES		**3195.71**		2952.69	
LESS: EXCISE DUTY		**379.55**	**2816.16**	343.48	2609.21
OTHER INCOME	8		**10.50**		17.61
INCREASE IN FINISHED GOODS	9		**93.13**		92.16
			2919.79		2718.98
EXPENDITURE					
MATERIALS AND MANUFACTURING	10		**2202.54**		2150.32
EMPLOYEES	11		**176.72**		155.70
FREIGHT AND TRANSPORTATION			**92.00**		88.70
OTHER EXPENSES	12		**183.30**		155.38
			2654.56		2550.10
OPERATING PROFIT (BEFORE INTEREST & DEPRECIATION)			**265.23**		168.88
INTEREST	13		**89.04**		76.15
PROFIT BEFORE DEPRECIATION			**176.19**		92.73
DEPRECIATION			**101.33**		97.50
TRANSFER FROM CAPITAL RESERVE			**25.89**		26.57
PROFIT BEFORE TAX			**100.75**		21.80
PROVISION FOR CURRENT TAX			**7.54**		0.47
MAT CREDIT ENTITLEMENT			**(7.54)**		(0.47)
DEFERRED TAX			**31.15**		1.44
PROVISION FOR FRINGE BENEFIT TAX			**2.87**		3.31
PROFIT AFTER TAX			**66.73**		17.05
DEBENTURE REDEMPTION RESERVE NO LONGER REQUIRED			**5.25**		3.35
SURPLUS FROM PREVIOUS YEAR			**27.88**		41.53
			99.86		61.93
APPROPRIATIONS					
DEBENTURE REDEMPTION RESERVE			**5.02**		5.27
GENERAL RESERVE			**60.00**		20.00
PROPOSED DIVIDEND			**8.32**		7.70
CORPORATE DIVIDEND TAX			**1.41**		1.08
SURPLUS CARRIED TO BALANCE SHEET			**25.11**		27.88
			99.86		61.93
BASIC/DILUTED EARNINGS PER SHARE (Rs.) - CASH			**56.28**		31.50
- AFTER TAX			**21.67**		6.01
ACCOUNTING POLICIES AND NOTES ON ACCOUNTS	14				

Schedules 8 to 14 attached to the Profit & Loss Account are an integral part thereof.

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

P.K. RUSTAGI
Secretary

New Delhi, the 29th January, 2008

H.S. SINGHANIA *Chairman*
RAGHUPATI SINGHANIA *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

Rs.in Crores (10 Million)

Schedule 1	30.09.2007	30.09.2006
SHARE CAPITAL		
Authorised:		
Equity Shares -12,50,00,000 of Rs. 10 each	**125.00**	125.00
14% Cumulative Redeemable Preference Shares - 7,00,000 of Rs. 100 each	**7.00**	7.00
Preference Shares - 48,00,000 of Rs. 100 each	**48.00**	48.00
	180.00	180.00
Issued, Subscribed and Paid up:		
Equity Shares -3,07,94,510 of Rs.10 each fully paid up	**30.79**	30.79
	30.79	30.79

Includes 33,750 Bonus shares by way of capitalisation of reserves and 86,51,639 shares issued to the shareholders of erstwhile Vikrant Tyres Ltd. pursuant to the Scheme of Arrangement and Amalgamation without payment being received in cash.

Rs. in Crores (10 Million)

Schedule 2	30.09.2006	Additions	Transfers	30.09.2007
RESERVES AND SURPLUS				
Capital Reserve	191.84	–	**25.89 (a)**	**165.95 (b)**
Capital Redemption Reserve	7.00	–	–	**7.00**
Debenture Redemption Reserve	15.07	**5.02**	**5.25**	**14.84**
Securities Premium	178.02	–	**13.13 (c)**	**164.89**
General Reserve	141.12	**60.00**	**75.78 (d)**	**125.34**
Surplus in Profit and Loss Account	27.88	**25.11**	**27.88**	**25.11**
	560.93	**90.13**	**147.93**	**503.13**

(a) Transfer to Profit and Loss Account Rs. 25.89 crs. towards additional depreciation arising out of revaluation of Fixed Assets.

(b) Represents revaluation reserve.

(c) Provision for premium on redemption of Zero Coupon Non-Convertible Debentures.

(d) Represents Deferred tax liability for transitional period upto 31st March, 2001 (Refer note No. B22(b) of Schedule 14).

Schedule 3	30.09.2007	30.09.2006
		Rs. in Crores (10 Million)
LOANS		
SECURED LOANS		
Zero Coupon Non-Convertible Debentures	**74.22**	95.22
Term Loans:		
Financial Institutions	**39.96**	53.92
Banks	**211.24**	221.54
Other Loans from Banks	**290.45**	271.59
Deferred Sales Tax	**70.95**	82.50
	686.82	724.77
UNSECURED LOANS		
Non-Convertible Debentures	**20.00**	–
Fixed Deposits	**44.24**	47.13
Deferred Sales Tax	**40.66**	29.78
Others	**0.58**	2.46
Short Term Loans – Banks	**110.65**	139.73
– Others	**12.00**	–
	228.13	219.10

NOTES

1. (a) 63389 Zero Coupon Non-Convertible Debentures (ZCNCDs) of Rs.10,000 each issued to a Bank, outstanding amount Rs. 37.69 crs., are secured by first pari passu charge created on the specified property of Gujarat and movable and immovable properties of Company's Plants in Rajasthan and Madhya Pradesh, both present and future. These debentures are redeemable at premium based on a YTM of 13.5% p.a. upto 30.06.2005 and a YTM of 9% p.a. w.e.f. 01.07.2005 with quarterly rests in five instalments at the end of 3 to 7 years from the respective dates of payment of allotment money / call money.

   (b) 12856 Zero Coupon Non-Convertible Debentures (ZCNCDs) of Rs.10,000 each issued to a Bank, outstanding amount Rs. 7.71crs., are secured by first pari passu charge created on the specified property of Gujarat and movable and immovable properties of Company's Plants in Rajasthan and Madhya Pradesh, both present and future. These debentures are redeemable at premium based on a YTM of 13.5% p.a. with quarterly rests in five instalments at the end of 3 to 7 years from the respective dates of payment of allotment money / call money.

   (c) 27353 Zero Coupon Non-Convertible Debentures (ZCNCDs) of Rs.10,000 each issued to a Bank, outstanding amount Rs. 21.61crs., are secured by first pari passu charge created on the specified property of Gujarat and movable and immovable properties of Company's Plants in Karnataka, both present and future. These debentures are redeemable at premium based on a YTM of 13.75% p.a upto 30.06.2005 and a YTM of 9% w.e.f. 01.07.2005 with quarterly rests in five instalments at the end of 3 to 7 years from the respective dates of payment of allotment money / call money.

   (d) 9057 Zero Coupon Non-Convertible Debentures (ZCNCDs) of Rs.10,000 each issued to Financial Institutions, outstanding amount Rs. 7.21crs., are secured by first pari passu charge created on the specified property of Gujarat and movable and immovable properties of Company's Plants in Karnataka, both present and future. 2656 ZCNCDs are redeemable at premium based on a YTM of 13.75% p.a. and 6401 ZCNCDs are redeemable at premium based on a YTM of 13.75% p.a. reduced to a YTM of 9% p.a. during January, 2006 to March, 2006 with quarterly rests in five instalments at the end of 3 to 7 years from the respective dates of payment of allotment money / call money.

2. Term Loan of Rs. 5.25 crs. from a Bank is secured by a first pari passu charge created on movable and immovable properties of Company's Plant in Madhya Pradesh, both present and future.

3. Term Loans aggregating Rs.12.22 crs. from Financial Institutions and Rs. 33.10 crs. from Banks are secured by a first pari passu charge created on movable and immovable properties of the Company's Plants in Rajasthan and Madhya Pradesh, both present and future. Loan of Rs. 21crs. (comprised in Rs. 33.10 crs. above) from a Bank is also secured by exclusive hypothecation of specified Book Debt.

4. Term Loans aggregating Rs. 99.66 crs. from Banks are secured by a first pari passu charge created on movable and immovable properties of the Company's Plants in Rajasthan, Madhya Pradesh and Karnataka, both present and future.

5. Term Loans aggregating Rs. 27.74 crs. from Financial Institutions and Rs. 38.15 crs. from Banks are secured by a first pari passu charge created on movable and immovable properties of Company's Plants in Karnataka, both present and future.

6. Term Loan of Rs. 35 crs. from a Bank is secured by an exclusive charge by way of hypothecation of specified assets at Company's Plants in Rajasthan, Madhya Pradesh and Karnataka.

7. Term Loan of Rs.0.08 cr. from a Bank is secured by hypothecation of specified vehicles.

8. Other Loans from banks represent Working Capital borrowings aggregating Rs.290.45 crs. secured by hypothecation of stocks and book debts etc., both present and future of the Company (except specified book debt exclusively hypothecated to a bank against Term Loan as referred to in note no.3) and second charge created on movable and immovable properties of the Company's Plants in Rajasthan, Madhya Pradesh and Karnataka.

9. Term Loans carrying first pari passu charge on the movable and immovable properties, are subject to prior charge of banks on stocks and book debts for working capital borrowings.

10. (a) Deferred Sales Tax Loan aggregating Rs. 66.72 crs. from Madhya Pradesh State Industrial Development Corporation Limited is secured by first available charge on movable and immovable properties created / to be created subject to charges referred to in note 1(a & b), 2, 3, 4 & 6 on movable and immovable properties of Company's Plant in Madhya Pradesh.

(b) Deferred Sales Tax Loan aggregating Rs. 4.23 crs. from Government of Karnataka subordinated to loans from Financial Institutions, is secured by a second charge on immovable properties of the Company's Plant in Karnataka.

Schedule 4

FIXED ASSETS **Rs.in Crores (10 Million)**

	Gross Value					Depreciation					Net Value	
Assets	As at 30.09.2006	Additions	Transfer pursuant to the Scheme	Sales/ Adjustments	**As at 30.09.2007**	Upto 30.09.2006	For the Year	Transfer pursuant to the Scheme	Sales/ Adjustments	Upto 30.09.2007	**As at 30.09.2007**	As at 30.09.2006
Land – Freehold	12.60	–	–	–	**12.60**	–	–	–	–	–	**12.60**	12.60
– Leasehold	10.73	–	–	0.01	**10.72**	0.49	0.11	–	–	0.60	**10.12**	10.24
Buildings*	206.27	11.12	–	–	**217.39**	39.77	4.96	–	–	44.73	**172.66**	166.50
Plant & Machinery	1822.00	61.96	–	2.82	**1881.14**	806.26	94.24	–	2.55	897.95	**983.19**	1015.74
Office Equipments, Furniture & Fixtures	19.96	2.79	–	1.01	**21.74**	9.73	0.95	–	0.55	10.13	**11.61**	10.23
Vehicles	12.66	2.50	–	2.68	**12.48**	3.78	1.07	–	0.99	3.86	**8.62**	8.88
	2084.22	78.37	–	6.52	**2156.07**	860.03	101.33	–	4.09	957.27	**1198.80**	1224.19
2005-2006	1938.72	156.90	8.21	3.19	2084.22	764.74	97.50	0.79	1.42	860.03	1224.19	–

* Buildings include Rs. 1.43 crs. constructed on lease land, 274 shares held in co-operative housing societies and property worth Rs. 0.46 cr. yet to be registered in Company's name.

Schedule 5

INVESTMENTS		30.09.2007		30.09.2006	
LONG-TERM INVESTMENTS (Other than trade) **Names of the Bodies Corporate**	Class of Shares/ Debentures	**Numbers**	**Rs.in Crores (10 Million)**	Numbers	Rs.in Crores (10 Million)
Hari Shankar Singhania Elastomer & Tyre Research Institute (Rs.2400; As at 30.09.2006: Rs.2400)	Equity	**24**		24	
HDFC Bank Ltd. (Rs.10000; As at 30.09.2006: Rs.10000)	Equity	**1,000**		1,000	
JK Agri Genetics Ltd. (Zero coupon secured non-convertible bonds)	Bonds	**1,00,000**	**42.50**	1,00,000	42.50
JK Sugar Ltd. (Zero coupon preference shares)	Preference	**15,00,000**	**13.50**	15,00,000	13.50
Netflier Finco Ltd.	Equity	**50,000**	**0.05**	50,000	0.05
V. S. Lignite Power Pvt. Ltd. #	Equity	**5,77,778**	**0.58**	–	–
V. S. Lignite Power Pvt. Ltd. #	Preference	**11,14,222**	**1.11**	–	–
Subsidiary Companies					
J.K. International Ltd.(£1each)	Equity	**1,35,000**	**0.61**	1,35,000	0.61
J.K. Asia Pacific Ltd. (HK$ 1 each)	Equity	**19,99,999**	**0.71**	19,99,999	0.71
Others					
LIC Mutual Fund Growth Fund	Units	**2,50,000**	**0.25**	2,50,000	0.25
6.75% Tax Free US-64 Bonds	Bonds	**16,480**	**0.21**	16,480	0.21
7.65% HDFC Bonds	Bonds	**14**	**1.35**	14	1.35
12.50% Sardar Sarovar Narmada Nigam Ltd.	Bonds	**180**	**0.73**	180	1.28
8.00% Himachal Pradesh Infrastructure Development Board	Bonds	**10**	**1.00**	10	1.00
J.K.I. Employees Co-operative Credit Society Ltd. (Rs.5000; As at 30.09.2006: Rs. 5000)	Equity	**5**		5	
Government Securities (Deposited with Government Department) National Savings Certificates (Rs. 12000; As at 30.09.2006: Rs.18500)					
			62.60		61.46

#Under lien with Issuer.

	30.09.2007	30.09.2006
Aggregate book value of unquoted Investments	**62.55**	61.46
Aggregate book value of quoted Investments (Previous year: Rs.10000)	**0.05**	
Market Value of quoted Investments	**0.31**	0.09

Rs.in Crores (10 Million)

Schedule 6	30.09.2007	30.09.2006
CURRENT ASSETS, LOANS AND ADVANCES		
A. CURRENT ASSETS		
Raw Materials	**153.20**	143.04
Stores and Spares	**13.61**	17.02
Finished Goods	**303.60**	189.38
Stock-in-Process	**32.44**	19.15
Debtors (unsecured, considered good):		
Debts over six months	**8.84**	10.45
Other Debts	**426.68**	467.44
Interest Accrued on Investments	**0.25**	0.18
Cash and Bank Balances:		
Cash on hand	**0.14**	0.11
Remittances in transit and Cheques on hand	**18.73**	26.68
Balances with Scheduled Banks:		
On Current Accounts	**5.00**	6.24
On Deposit Accounts	**5.35**	6.29
(pledged with bank Rs. 4.93 crs.; 30.09.2006: Rs. 5.01 crs.)		
On Savings Bank Account (For Employees Security Deposit)		
(Rs.4657; As at 30.09.2006: Rs.4498)		
	967.84	885.98
B. LOANS AND ADVANCES (Considered Good)		
Secured Loan	**1.52**	1.52
Unsecured :		
Loan	**6.60**	6.60
Advances recoverable in cash or in kind		
or for value to be received	**86.31**	97.37
Deposit with Government Authorities and Others	**12.14**	10.96
Fringe Benefit Tax Advance Payments	**3.97**	3.47
MAT Credit Entitlement	**8.01**	0.47
Income Tax Advance Payments	**13.79**	7.15
	132.34	127.54
	1100.18	1013.52

Schedule 7		
CURRENT LIABILITIES AND PROVISIONS		
A. CURRENT LIABILITIES		
Acceptances	**10.93**	7.12
Sundry Creditors	**581.69**	546.52
Investor Education and Protection Fund (refer note B21 of schedule 14)	**1.97**	2.26
Other Liabilities	**199.47**	204.27
Interest accrued but not due on loans	**5.99**	6.17
	800.05	766.34
B. PROVISIONS		
Provision for Retirement Benefits	**13.13**	15.93
Provision for Taxation	**8.84**	1.30
Provision for Fringe Benefit Tax	**4.20**	4.51
Proposed Dividend	**8.32**	7.70
Provision for Corporate Dividend Tax	**1.41**	1.08
	35.90	30.52
	835.95	796.86

Rs.in Crores (10 Million)

Schedule 8	2006-2007	2005-2006
OTHER INCOME		
Income From Long Term Investments (other than trade)		
Dividends (Rs. 7000; 2005-06: Rs. 5500)		
Interest (Include Tax at source Rs. 0.10 cr; 2005-06: Rs. 0.11 cr.)	**0.33**	0.37
Profit / (Loss) on sale of Investments (Net)	**–**	5.44
Reversal of provision for Diminution in value of long-term investments (Rs. 5000)		0.05
Profit / (Loss) on sale of Assets (Net)	**–**	0.01
Provision of earlier years, no longer required	**0.02**	0.15
Miscellaneous Income	**10.15**	11.59
	10.50	17.61

Schedule 9		
INCREASE IN FINISHED GOODS		
Opening Stock	**189.38**	77.78
Closing Stock	**303.60**	189.38
	114.22	111.60
Differential Excise Duty on Increase of Finished Goods	**(21.09)**	(19.44)
	93.13	92.16

Schedule 10		
MATERIALS AND MANUFACTURING		
Raw Materials Consumed	**1956.95**	1885.04
(Increase) / Decrease in Stock-in-Process	**(13.29)**	1.27
Conversion Charges	**53.34**	59.68
Purchase of Finished Goods	**24.40**	27.04
Consumption of Stores and spares	**31.75**	29.85
Power and Fuel	**139.79**	139.00
Repairs to Buildings	**2.60**	1.83
Repairs to Machinery	**7.00**	6.61
	2202.54	2150.32

Schedule 11		
EMPLOYEES		
Salaries, Wages, Bonus and Gratuity	**128.48**	110.37
Contribution to Provident and other Funds	**12.59**	11.96
Employees' Welfare and other Benefits	**35.65**	33.37
	176.72	155.70

Rs.in Crores (10 Million)

Schedule 12	2006-2007	2005-2006
OTHER EXPENSES		
Rent	**5.28**	4.09
Other Taxes	**4.84**	5.86
Insurance	**4.16**	3.55
Discount	**50.94**	48.11
Royalty	**8.31**	7.58
Advertisement	**19.90**	16.31
Directors' Fee	**0.03**	0.05
Commission	**14.95**	12.65
Sales Promotion Expenses	**11.30**	5.83
Loss / (Profit) on sale of Assets (Net)	**0.37**	–
Loss on sale of Investment	**0.01**	–
Deferred Revenue Expenditure Written off	**4.35**	5.68
Provision for Doubtful Debts / Advances	**0.50**	0.30
Bank charges, Printing & Stationery, Postage, Telephone, Travelling and other Miscellaneous Expenses	**58.36**	45.37
	183.30	155.38

Schedule 13

INTEREST

Interest on :		
Debentures, Term Loans and Fixed Deposits	**30.83**	33.40
Others	**60.27**	45.66
	91.10	79.06
Less: Received on Short-term Loans and Others (Tax at source Rs. 0.25 cr; 2005-06: Rs. 0.30 cr.)	**2.06**	2.91
	89.04	76.15

Schedule 14

ACCOUNTING POLICIES AND NOTES ON ACCOUNTS

A. SIGNIFICANT ACCOUNTING POLICIES

1. Accounts are maintained on accrual basis. Claims / Refunds not ascertainable with reasonable certainty are accounted for on settlement basis.

2. Fixed assets are stated at cost adjusted by revaluation of certain assets.

3. Expenditure during construction / erection period is included under capital work-in-progress and is allocated to the respective fixed assets on completion of construction / erection.

4 a) Depreciation on fixed assets is calculated on straight line method. Depreciation on the assets purchased prior to 2nd April, 1987 is provided at the rates in force at the time of respective additions to the assets and on the assets purchased on or after 2nd April, 1987 on the basis of Schedule XIV of the Companies Act, 1956. Continuous process Plants as defined in Schedule XIV have been considered on technical evaluation.

   b) Leasehold Land is being amortised over the lease period.

   c) Depreciation on the increased amount of assets due to revaluation is computed on the basis of residual life of the assets as estimated by the valuer on straight line method.

5. Assets and liabilities related to foreign currency transactions are translated at exchange rate prevailing at the end of the year. Exchange difference in respect of fixed assets acquired from outside India is adjusted to the carrying cost of fixed assets and in respect of others is charged to Profit and Loss Account. Non Monetary Foreign Currency items are stated at cost. Premium in respect of forward contracts is recognised over the life of contract.

6. Long Term Investments are stated at cost. Provision for diminution in the value of long term Investments is made only if, such a decline is other than temporary. The Current Investments are stated at lower of cost or quoted / fair value computed category-wise.

7. Inventories are valued at lower of cost and net realisable value. The cost is computed on weighted average basis. Finished Goods and Process Stock include cost of conversion and other costs incurred in bringing the inventories to their present location and condition.

8. Revenue Expenditure on Research and Development is charged to Profit & Loss Account and Capital Expenditure is added to Fixed Assets.

9. Borrowing Cost is charged to Profit & Loss Account except cost of borrowings for acquisition of qualifying assets which is capitalised till the date of commercial use of the asset.

10. Gratuity and Leave encashment benefits are accounted for on the basis of actuarial valuation as at Balance Sheet date. Other retirement benefits are accounted on accrual basis.

11. Expenditure incurred upto 30.9.2003 against which benefit is expected to flow into future periods is treated as Deferred Revenue Expenditure and charged to Revenue Account over the expected duration of benefit. Compensation paid to employees under voluntary retirement scheme is treated as Deferred Revenue Expenditure and is amortised over a period of 5 years.

12. Export incentives and other benefits are recognised in the Profit & Loss Account. Project subsidy is credited to Capital Reserve.

13. Current Tax is the amount of tax payable on the estimated taxable income for the current year as per the provisions of Income Tax Act,1961. Deferred Tax is recognised for timing differences. However, Deferred Tax Asset is recognised on the basis of reasonable / virtual certainty that sufficient future taxable income will be available against which the same can be realised.

B. NOTES ON ACCOUNTS

1. The name of the Company has been changed from J. K. Industries Ltd. to JK Tyre & Industries Ltd. w.e.f. 2.4.2007.

2. Estimated amount of contracts remaining to be executed on capital account Rs.21.91crs. (Previous year: Rs.17.15 crs.).

3. Contingent liabilities in respect of claims not accepted and not provided for Rs. 25.48 crs. (Previous year: Rs. 31.64 crs.). Details thereof are, Excise duty matters in appeal Rs. 3.52 crs., Service tax matters Rs.1.47 crs., Sales Tax matters in appeal Rs.1.78 crs. & other matters Rs. 18.71crs. (Previous year: Rs.3.91crs., Rs. 3.01crs., Rs.2.77 crs. & Rs.21.95 crs. respectively).

4. Bills discounted with Banks outstanding Rs.31.55 crs. (Previous year: Rs.35.95 crs.).

5. Excise Duty liability on account of valuation of Finished Goods is disputed and is yet to be determined. Without prejudice to the Company's stand in this behalf, as per Government's desire an adhoc amount of Rs.5.45 crs. was paid under protest in earlier years and debited to 'Advances Recoverable' and an equivalent amount was provided in Profit and Loss Account. On Writ Petition filed by the Company in the Hon'ble Delhi High Court, the said Court directed the Excise Authorities to determine the valuation of finished goods in accordance with law and observations made in the order.

6. The Company has given guarantees / letter of comfort to certain Banks and Financial Institutions in respect of loans outstanding as at 30.9.2007 aggregating to Rs.11.88 crs. (Previous year: Rs.14.80 crs.) in respect of bodies corporate against counter indemnities from such bodies corporate for any liability that may arise.

7. Miscellaneous expenditure to the extent not written off comprises of expenditure relating to Compensation paid under VRS, Share Issue expenses etc. Rs. 8.22 crs. (Previous year: Rs.9.16 crs.) amortised over expected duration of benefit i.e. 5 years.

8. Factory & Service buildings and Plant and Machinery of Company's Plant at Jaykaygram were revalued as at 1st January, 1985 & 1st April, 1991. On 1st April, 1997 the revaluation of such assets was updated along with similar assets of Banmore plant. The revaluation of said assets of Jaykaygram and Banmore was further updated alongwith Factory Land and Township building as at 1st April, 2002 based on current replacement cost by a Valuer. The Gross Block as at 30.9.2007 as well as previous year include cumulative surplus of Rs. 667.78 crs. arising on revaluation.

9. Capital work in progress includes Machinery in stock / transit, construction / erection materials, advances for construction and Machinery, expenditure on ERP Implementation and also includes the following pre-operative expenses pending allocation:

	Rs. in Crores (10 Million)	
	30.9.2007	30.9.2006
Raw Material Consumption	**–**	0.58
Stores Consumption	**0.19**	–
Salaries and wages	**2.37**	1.36
Rates and Taxes (including excise)	**–**	0.05
Travelling Expenses	**0.23**	0.53
Electricity Consumed	**0.16**	0.10
Project Processing Fees and Expenses to FIs	**0.71**	–
Miscellaneous expenditure	**1.16**	0.68
Interest on Term Loans, Debentures & Other Loans	**2.16**	1.75
	6.98	5.05
Add: Expenditure upto previous year	**1.35**	3.41
	8.33	8.46
Less: Transferred to Fixed Assets	**4.93**	7.11
	3.40	1.35

10. Pursuant to the Scheme of Arrangement and Demerger (The Scheme) between the Company and Netflier Technologies Ltd. (name since changed to Netflier Finco Limited), approved by Hon'ble High Court of Calcutta vide their order dated 8.11.2006 becoming effective from the appointed date i.e. 1.10.2005, the necessary steps and formalities in respect of transfer of investments and assets in favour of Netflier Finco Limited are under implementation.

11. During the previous year, 36 lacs equity shares were allotted on preferential basis aggregating Rs. 37.80 crs. The balance out of said proceeds has been utilized for the purpose, for which, it was raised.

12. a) Debts over six months and Advances are net of provisions made for Doubtful Debts Rs. 2.92 crs. and Advances Rs.0.32 cr. (Previous year: Rs.3.90 crs. and Rs.0.32 cr. respectively).

    b) Debts over six months / Advances include Rs.4.20 crs. (Previous year: Rs.4.41crs.) for which legal and other necessary action has been taken. In the opinion of the Management, these debts are recoverable and the same have been classified as good.

13. a) In respect of certain disallowances and additions made by the Income Tax Authorities, appeals are pending before the Appellate Authorities and adjustment, if any, will be made after the same are finally determined.

    b) In view of recent judgements, deferred tax has been considered as an admissible deduction for determining Book Profit under Section 115JB (2) of the Income Tax Act, 1961.

14. Raw materials consumed has been determined after adjusting Rs.36.95 crs. (Previous year: Rs.39.95 crs.) accounted for on accrual basis in respect of import entitlements against exports made under Duty Exemption Scheme.

15. The Company has worked out reversal of Modvat Credit availed on exports under Value Based Advance Licence in earlier years and had reversed the same in accounts. Pursuant to special scheme announced by the Government, the Company has also paid interest on such reversals. Further, the Excise department has issued certain basis for reversal of Modvat, which is disputed and has been contested by the Company in a Writ Petition before the Hon'ble Delhi High Court and directions have been issued to treat the reversal already made by the Company as provisional.

16. a) Exchange difference (net) amounting Rs.17.48 crs. (Previous year: Rs.7.50 crs. – debited) has been credited in respective heads of account in Profit and Loss account.

    b) Forward Contracts Rs. 56.03 crs. – US $ 14 Million (Previous Year: Rs. 176.65 crs. – US $ 38 Million) and Rs. 8 crs. – US $ 2 Million (Previous Year: Rs. 55.59 crs. – US $ 12 Million) taken for the purpose of hedging of debtors and creditors respectively are outstanding as at 30.9.2007.

    c) Foreign currency exposure not hedged is Rs.142.35 crs. – US $ 35.57 Million (Previous Year: Rs.112.48 crs. – US $ 24.36 Million) net payable as at 30.9.2007.

17. a) There were no sums due to small scale industrial undertakings included in Sundry Creditors for the current as well as previous year to the extent such parties have been identified from available information.

    b) Based on the information available with the Company upto 30th September, 2007 in respect of SME (as defined in 'The Micro, Small & Medium Enterprises Development Act, 2006') the Company is generally regular in making payments of dues to such enterprises.

18. Research and Development expenses amounting to Rs.12.83 crs. (Previous year: Rs.9.94 crs.) have been included in respective revenue accounts.

19. Amount paid to Auditors:

	Rs.in Crores (10 Million)	
	2006–2007	2005–2006
i) Statutory Auditors		
a) Audit fee	**0.12**	0.09
b) Taxation	**0.01**	0.01
c) Certificates / other services	**0.02**	0.02
d) Reimbursement of expenses	**0.01**	0.02
ii) Cost Auditors		
a) Audit Fee (Previous year: Rs. 40000)	**0.01**	
b) Reimbursement of expenses Rs. 9350 (Previous year: Rs.17435)		

20. Computation of Net Profit for the purpose of calculating Managerial Remuneration:

		Rs. in Crores (10 Million)
		2006–2007
Profit as per Profit and Loss Account		**100.75**
Add:	Directors' Fee	**0.03**
	Directors' Remuneration	**0.95**
	Remuneration to Managing Directors / Whole Time Director	**9.75**
	VRS Expenses	**4.18**
	Loss on sale of Investments	**0.01**
	Provision for doubtful debts / advances	**0.50**
	Loss on sale of assets	**0.37**
	Wealth Tax	**0.10**
		116.64
Less:	Bad Debts written off out of provision for doubtful debts / Advances	**1.48**
	Provision for diminution in value of investment written back (Rs.5000)	
Net Profit for the purpose of Managerial Remuneration under Section 349		**115.16**

Commission payable to non-executive directors is as per approval of the Board of Directors, Rs. 0.95 cr.

Remuneration to Vice Chairman & Managing Director, Managing Director, Dy. Managing Director and Whole time Director :

	Rs. in Crores (10 Million)	
	2006–2007	2005–2006
– Salaries	**1.85**	1.47
– Commission	**7.04**	–
– Contribution to Provident and other Funds*	**0.50**	0.40
– Value of Perquisites (as per Income Tax Rules)	**0.36**	0.40
	9.75	2.27

*Excluding provision for Gratuity & leave encashment, where the actuarial valuation is done on overall company basis.

21. Investor Education and Protection Fund includes Rs.0.37 cr. for unclaimed dividend (Previous year: Rs.0.45 cr.), Rs.1.48 crs. for unclaimed fixed deposits (Previous year: Rs.1.66 crs.) and Rs. 0.12 cr. for unclaimed amount on debentures (Previous year: Rs.0.15 cr.), which shall be deposited on respective due dates.

22. a) Pursuant to the accounting standard on 'Accounting for Taxes on Income' (AS-22), deferred tax liability / (asset) are as under:

	Rs. in Crores (10 Million)			
		2006–2007		2005–2006
1. Deferred Tax Liability				
i) Related to Fixed Assets	**127.17**		13.77	
ii) Others	**0.56**	**127.73**	1.04	14.81
2. Deferred Tax Asset				
i) Disallowance under Income Tax Act, 1961	**9.58**		7.94	
ii) Provision for doubtful debts	**1.21**		0.49	
iii) Unabsorbed Depreciation	**11.62**		7.55	
iv) Related to Deferred Revenue Expenditure	**–**	**22.41**	0.44	16.42
3. Deferred Tax Liability / (Asset)- Net		**105.32**		(1.61)

b) In order to give effect to the provisions of Para 33 of AS-22 and pursuant to the judgement of the Hon'ble Supreme Court, the Company has provided for deferred tax liability (net) of Rs. 75.78 crs. at prevailing rate of tax for the transitional period upto 31st March, 2001 from general reserve.

	Rs. in Crores (10 Million)	
	2006-2007	2005-2006
23. Earnings Per Share :		
a) Profit after tax	**66.73**	17.05
b) Weighted average number of equity shares	**30794510**	28383003
c) Basic and Diluted Earnings per equity share (Rs.) (Face Value Rs.10 each)		
– Cash	**56.28**	31.50
– After Tax	**21.67**	6.01

24. Related Party :

a) Subsidiaries:

J. K. International Ltd.

J. K. Asia Pacific Ltd.

J. K. Asia Pacific (S) Pte. Ltd. (Subsidiary of J. K. Asia Pacific Ltd.)

b) Associates:

JK Lakshmi Cement Ltd. (formerly J. K. Corp Ltd.)

Hari Shankar Singhania Elastomer and Tyre Research Institute

Valiant Pacific LLC.

c) Key Management Personnel:

Shri Raghupati Singhania	Vice Chairman & Managing Director
Shri Bharat Hari Singhania	Managing Director
Shri Vikrampati Singhania	Dy. Managing Director
Shri Swaroop Chand Sethi	Whole Time Director

The following transactions were carried out with related parties in the ordinary course of business:

Rs. in Crores (10 Million)

Nature of Transactions	**2006-2007 Associates**	2005-2006 Associates
Sale of Goods	**223.98**	214.18
Purchase of Goods	**0.13**	0.07
Sale of Fixed Assets	**0.07**	–
Sharing of Expenses received	**2.65**	0.55
Sharing of Expenses paid	**2.29**	2.07
Loans / Advances given	**3.88**	3.52
Loans / Advances recovered	**3.50**	2.55
Loans / Advances received	**–**	0.49
Loans / Advances repaid	**–**	1.28
Royalty income	**1.58**	2.09
Contribution	**2.90**	1.25
Outstanding as at year end – Receivable	**45.79**	39.94

There were no transactions with subsidiaries during the current and previous year.

Details of remuneration paid to Key Management Personnel is given in note no. 20.

25. Particulars of Capacity (Per Annum), Production, Purchases, Sales and Stocks

		INSTALLED CAPACITY PER ANNUM	OPENING STOCK 01.10.2006		PRODUC–TION	PURCHASES		SALES		CLOSING STOCK 30.09.2007	
	UNITS	QTY.	QTY.	Rs. in Crores (10 Million)	QTY.	QTY.	Rs. in Crores (10 Million)	QTY.	Rs. in Crores (10 Million)	QTY.	Rs. in Crores (10 Million)
AUTOMOBILE TYRES	Lac Nos.	87.00	4.99	166.56	72.17	0.11	0.86	69.24	2923.43	8.03	272.71
		(75.98)	(2.03)	(64.63)	(67.85)	(0.31)	(2.15)	(65.20)	(2699.73)	(4.99)	(166.56)
AUTOMOBILE TUBES	Lac Nos.	25.45	5.46	17.90	55.21	3.52	17.31	57.36	221.35	6.83	24.60
		(25.45)	(3.21)	(10.64)	(52.07)	(5.00)	(16.57)	(54.82)	(205.67)	(5.46)	(17.90)
AUTOMOBILE FLAPS	Lac Nos.	–	2.84	4.92	28.32	3.37	6.23	31.20	50.93	3.33	6.29
		–	(1.82)	(2.51)	(27.05)	(4.89)	(8.32)	(30.92)	(47.29)	(2.84)	(4.92)

– Installed Capacity - Certified by the Management.

– Production includes conversion of Finished Goods by outside parties.

– Figures in brackets represent previous year.

26. Particulars of Raw Materials and Stores and Spares Consumed:

Rs. in Crores (10 Million)

		2006 - 2007		2005 - 2006	
		Quantity(MT)	**Amount**	Quantity(MT)	Amount
i)	Raw Materials				
	Rubber	**115485**	**1053.17**	114388	1008.78
	Fabric	**22481**	**364.83**	21945	379.86
	Chemicals	**32510**	**242.69**	32339	222.04
	Carbon Black	**55566**	**232.01**	54617	211.91
	Others	**–**	**64.25**	–	62.45
			1956.95#		1885.04#
		% of Total		% of Total	
	Imported	**28.18**	**551.50**	24.25	457.07
	Indigenous	**71.82**	**1405.45**	75.75	1427.97
ii)	Stores and Spares				
	Imported	**4.36**	**1.38**	2.88	0.86
	Indigenous	**95.64**	**30.37#**	97.12	28.99#

Excludes Raw Material Rs. Nil and Stores Rs. 0.19 cr. (Previous year: Raw Material Rs. 0.58 cr. and Stores Rs. Nil) consumed during pre–operative period.

Rs. in Crores (10 Millon)

	2006 - 2007	2005 - 2006
27. a) Expenditure in Foreign Currency (as remitted):		
(i) Royalty	**6.83**	4.82
(ii) Professional charges	**1.51**	0.49
(iii) Others	**3.94**	6.84
b) Remittances in foreign Currency on account of Dividend for the year 2005-2006 (Previous year 2004-2005):		
(i) Number of Non-resident shareholders	**1**	1
(ii) Number of Equity shares held by them	**2615625**	3487500
(iii) Amount of dividend remitted	**0.65**	0.70
c) Earnings in Foreign Currency on account of:		
F.O.B. value of exports	**481.04**	434.86
Royalty	**1.58**	2.09
d) C.I.F. Value of Imports:		
Raw Materials	**512.65**	415.62
Capital Goods	**12.08**	32.09
Spares	**2.81**	2.44

28. Figures less than Rs. 50000 have been shown at actual in bracket.

29. Figures for the previous year have been regrouped, wherever necessary.

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

New Delhi, the 29th January, 2008

P.K. RUSTAGI
Secretary

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

I. REGISTRATION DETAILS

Registration no.	19430
State Code	21
Balance Sheet Date	30.09.2007

II. CAPITAL RAISED DURING THE YEAR (Amount in Rs. Thousands)

Public Issue	Nil
Rights Issue	Nil
Private Placement	Nil
Bonus Issue	Nil

III. POSITION OF MOBILISATION AND DEPLOYMENT OF FUNDS (Amount in Rs. Thousands)

Total Liabilities	23901370
Total Assets	23901370
SOURCES OF FUNDS	
Paid-up Capital	307945
Reserves & Surplus	5031288
Secured Loans	6868194
Unsecured Loans	2281307
Deferred Tax Liability	1053202
APPLICATION OF FUNDS	
Net Fixed Assets	12191428
Investments	626029
Net Current Assets	2642317
Misc. Expenditure	82162
Accumulated Losses	Nil

IV. PERFORMANCE OF THE COMPANY (Amount in Rs. Thousands)

Turnover including Other Incomes	32062093
Total Expenditure	31054590
Profit Before Tax	1007503
Profit after Tax	667262
Basic/ Diluted Earnings per Share (Rs.)	
– Cash	56.28
– After Tax	21.67
Dividend Rate (%)	27.00

V. GENERIC NAME OF PRINCIPAL PRODUCTS / SERVICES OF THE COMPANY

(As per Monetary terms)

Item Code No.	4011,12 & 13
	Tyres, Tubes & Flaps

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*

BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA
Directors

P.K. RUSTAGI
Secretary

New Delhi, the 29th January, 2008

CASH FLOW STATEMENT

For the year ended 30th September, 2007

	Rs. in Crores (10 Million)	
A. CASH FLOW FROM OPERATING ACTIVITIES:	**2006-2007**	2005-2006
Net profit before tax and extraordinary items	**100.75**	21.80
Adjusment for:		
Depreciation	**101.33**	97.50
Transfer from capital reserve	**(25.89)**	(26.57)
Interest Expenses	**91.10**	79.06
(Profit) / Loss on sale of assets	**0.37**	(0.01)
Deferred revenue expenditure written off	**4.35**	5.68
(Profit) / Loss on sale of Investment	**0.01**	(5.44)
Foreign Exchange Fluctuation	**(3.04)**	(0.41)
Reversal of provision for diminution of Investments (Rs.5000)		(0.05)
Interest / Dividend Received	**(2.39)**	(3.28)
Provision for Doubtful Debts/Advances	**0.50**	0.30
Operating Profit before working capital changes	**267.09**	168.58
(Increase) / Decrease in Trade and Other Receivables	**49.79**	(70.46)
(Increase) / Decrease in Inventories	**(134.26)**	(124.56)
Increase / (Decrease) in Trade Payables	**26.12**	79.12
Cash generated from Operations	**208.74**	52.68
Deferred revenue expenditure	**(3.41)**	(1.90)
Direct taxes (net)	**(10.32)**	(5.14)
Net Cash from Operating actvities	**195.01**	45.64
B. CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of Fixed Assets	**(76.93)**	(114.22)
Sale of Fixed Assets	**2.06**	1.77
Movement in Loan	**–**	1.00
Purchase of Investments	**(1.69)**	(1.40)
Sale of Invesments	**0.54**	7.27
Interest Received	**2.32**	4.02
Net Cash used in Investing activities	**(73.70)**	(101.56)
C. CASH FLOW FROM FINANCING ACTIVITIES:		
Equity share Capital	**–**	37.80
Proceeds from borrowings	**145.76**	246.13
Repayment of borrowings	**(174.87)**	(132.85)
Interest Paid	**(93.44)**	(83.39)
Dividend paid (including dividend tax)	**(8.86)**	(8.56)
Net cash used in financing activities	**(131.41)**	59.13
Net increase in cash and cash equivalents	**(10.10)**	3.21
Cash and Cash Equivalents as at the beginning of the year	**39.32**	36.11
Cash and Cash Equivalents as at the end of the year	**29.22**	39.32
Notes:		
Cash and Cash Equivalents Include:		
– Cash, Cheques in hand and Remittances in transit	**18.87**	26.79
– Balances with Scheduled Banks	**10.35**	12.53
– Unrealised Translation gain on Foreign Currency balances	**–**	–
Total	**29.22**	39.32

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

P.K. RUSTAGI
Secretary

New Delhi, the 29th January, 2008

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*

BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956

	J.K.International Limited	J.K.Asia Pacific Limited	J.K.Asia Pacific (S) Pte. Limited*
1. Name of the Subsidiary Company	J.K.International Limited	J.K.Asia Pacific Limited	J.K.Asia Pacific (S) Pte. Limited*
2. Financial year of the Subsidiary ended on	31.03.2007	30.09.2007	30.09.2007
3. Holding Company's interest in Equity Capital	100.00%	100.00%	100.00%
4. Net aggregate of Profit less Losses of the Subsidiary Companies as far as it concerns the members of the Holding Company:			
1. Not dealt with in the Holding Company's Accounts:			
a) For the Financial year of the Subsidiary - Rs./Lacs	–	(1.62) (HK$ 29799)	(1.94) (S$6997)
b) For the previous Financial years since it became the Holding Company's Subsidiary - Rs./Lacs	(143.53) –£184537	24.23 HK$ 450139	57.15 S$ 213919
2. Dealt with in the Holding Company's Accounts:			
a) For the Year ended 30th September, 2007 – Rs./Lacs	–	–	–
b) For the previous Financial years since it became the Holding Company's Subsidiary - Rs./Lacs	–	–	–
5. Changes in the interest of Holding Company between the end of the Financial year of the Subsidiary and the end of the Holding Company's Financial year–increase %	–	–	–

* Wholly owned subsidiary of J.K. Asia Pacific Ltd.

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*

P.K. RUSTAGI
Secretary

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ARVIND SINGH MEWAR
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA
Directors

New Delhi, the 29th January, 2008

Auditors' Report on the Consolidated Financial Statements

TO THE BOARD OF DIRECTORS OF JK TYRE & INDUSTRIES LIMITED (FORMERLY J.K. INDUSTRIES LIMITED) ON THE CONSOLIDATED FINANCIAL STATEMENTS OF JK TYRE & INDUSTRIES LIMITED, ITS SUBSIDIARIES AND ITS INTERESTS IN ASSOCIATES

We have examined the attached Consolidated Balance Sheet of JK Tyre & Industries Limited, its subsidiaries and its interests in associates as at 30th September, 2007 and the Consolidated Profit and Loss Account and also the Consolidated Cash Flow Statement for the year then ended.

These financial statements are the responsibility of JK Tyre & Industries Limited's management. Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with generally accepted auditing standards in India. These standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are prepared, in all material respects, in accordance with an identified financial reporting framework and are free of material misstatements. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management as well as, evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

We did not audit the financial statements of subsidiaries, whose financial statements reflect total assets of Rs.2.27 crs. as at 30th September, 2007 including Rs. 0.01 cr. for J.K. International Limited as at 31st March, 2007 and total revenues of Rs. 0.03 cr. for the respective years then ended. The financial statements of subsidiary, namely, J.K. International Limited, which was furnished to us by the management, was unaudited. Further the financial statements of other subsidiary, namely, J.K. Asia Pacific Limited and J.K. Asia Pacific (S) Pte Limited have been audited by other auditors, whose reports have been furnished to us and our opinion, in so far as it relates to the amounts included in respect of the said subsidiary, is based solely on the report of the other auditors.

The financial statements of associate, namely, Hari Shankar Singhania Elastomer & Tyre Research Institute have been audited by us, whose financial statements reflect total assets of Rs. 15.35 crs. as at 31st March, 2007 and total revenue of Rs. 3.45 crs. for the year then ended.

We did not audit the financial statements of associate, namely, Valiant Pacific LLC., whose audited financial statements reflect total assets of Rs.48.44 crs. as at 30th September, 2007 and total revenue of Rs. 297.20 crs. for the year then ended. The said financial statements have been audited by other auditors whose reports have been furnished to us, and our opinion, in so far as it relates to the amount included in respect of the interest in said associate, is based solely on the report of other auditors.

We report that the consolidated financial statements have been prepared by the Company in accordance with the requirements of Accounting Standard (AS) 21 "Consolidated Financial Statements" and AS-23 "Accounting for Investments in Associates in Consolidated Financial Statements" issued by the Institute of Chartered Accountants of India and on the basis of the separate audited financial statements of JK Tyre & Industries Limited, its subsidiaries and its interests in associates included in the consolidated financial statements.

On the basis of the information and explanations given to us and on the consideration of the separate audit reports on individual audited financial statements of the Company and its Subsidiaries and its interest in Associates included in the Consolidated Financial Statements, we are of the opinion that the said consolidated financial statements read together with notes thereon, give a true and fair view in conformity with the accounting principles generally accepted in India:

a) In the case of Consolidated Balance Sheet, of the consolidated state of affairs of the Company, its Subsidiaries and its interests in Associates as at 30th September, 2007;

b) In the case of the Consolidated Profit & Loss Account, of the consolidated results of operations of the Company, its Subsidiaries and its interests in Associates for the year then ended; and

c) In the case of Consolidated Cash Flow Statement, of the consolidated cash flows of the Company, its Subsidiaries and its interests in Associates for the year then ended.

For LODHA & CO.
Chartered Accountants

N. K. LODHA
Partner
Membership No. 85155

New Delhi, the 29th January, 2008

Consolidated Balance Sheet

As at 30th September, 2007 — **Rs.in Crores (10 Million)**

	Schedule	**30.09.2007**	30.09.2006
SOURCES OF FUNDS			
SHAREHOLDERS' FUNDS			
CAPITAL	1	**30.79**	30.79
RESERVES AND SURPLUS	2	**513.26**	568.57
		544.05	599.36
LOANS	3		
SECURED LOANS		**686.84**	724.78
UNSECURED LOANS		**228.13**	219.10
		914.97	943.88
DEFERRED TAX		**105.32**	–
		1564.34	1543.24
APPLICATION OF FUNDS			
FIXED ASSETS	4		
GROSS BLOCK		**2156.07**	2084.22
LESS: DEPRECIATION		**957.27**	860.03
NET BLOCK		**1198.80**	1224.19
CAPITAL WORK IN PROGRESS		**20.34**	22.51
		1219.14	1246.70
INVESTMENTS	5	**71.40**	67.58
DEFERRED TAX		**–**	1.61
CURRENT ASSETS, LOANS AND ADVANCES	6	**1101.56**	1015.08
LESS: CURRENT LIABILITIES AND PROVISIONS	7	**835.98**	796.89
NET CURRENT ASSETS		**265.58**	218.19
MISCELLANEOUS EXPENDITURE (To the extent not written off or adjusted)		**8.22**	9.16
		1564.34	1543.24
NOTES ON ACCOUNTS	14		

Schedules 1 to 7 and 14 attached to the Balance Sheet are an intergral part thereof.

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

P.K. RUSTAGI
Secretary

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

New Delhi, the 29th January, 2008

CONSOLIDATED PROFIT & LOSS ACCOUNT

FOR THE YEAR ENDED 30th SEPTEMBER, 2007 — **Rs.in Crores (10 Million)**

	Schedule		**2006-2007**		2005-2006
INCOME					
SALES		**3195.71**		2952.69	
LESS : EXCISE DUTY		**379.55**	**2816.16**	343.48	2609.21
OTHER INCOME	8		**10.50**		17.61
INCREASE IN FINISHED GOODS	9		**93.13**		92.16
			2919.79		2718.98
EXPENDITURE					
MATERIALS AND MANUFACTURING	10		**2202.54**		2150.32
EMPLOYEES	11		**176.72**		155.70
FREIGHT AND TRANSPORTATION			**92.00**		88.70
OTHER EXPENSES	12		**183.37**		155.46
			2654.63		2550.18
OPERATING PROFIT (BEFORE INTEREST & DEPRECIATION)			**265.16**		168.80
INTEREST	13		**89.01**		76.14
PROFIT BEFORE DEPRECIATION			**176.15**		92.66
DEPRECIATION			**101.33**		97.50
TRANSFER FROM CAPITAL RESERVE			**25.89**		26.57
PROFIT BEFORE TAX			**100.71**		21.73
PROVISION FOR CURRENT TAX			**7.54**		0.47
MAT CREDIT ENTITLEMENT			**(7.54)**		(0.47)
DEFERRED TAX			**31.15**		1.44
PROVISION FOR FRINGE BENEFIT TAX			**2.87**		3.31
PROFIT AFTER TAX			**66.69**		16.98
SHARE IN PROFITS OF ASSOCIATES			**2.68**		2.80
DEBENTURE REDEMPTION RESERVE NO LONGER REQUIRED			**5.25**		3.35
SURPLUS FROM PREVIOUS YEAR			**35.47**		52.68
LESS : SHARE IN ACCUMULATED PROFIT OF CEASED SUBSIDIARIES & ASSOCIATES DE-RECOGNISED			–		6.29
			110.09		69.52
APPROPRIATIONS					
DEBENTURE REDEMPTION RESERVE			**5.02**		5.27
GENERAL RESERVE			**60.00**		20.00
PROPOSED DIVIDEND			**8.32**		7.70
CORPORATE DIVIDEND TAX			**1.41**		1.08
SURPLUS CARRIED TO BALANCE SHEET			**35.34**		35.47
			110.09		69.52
BASIC / DILUTED EARNINGS PER SHARE (Rs.)	– CASH		**56.27**		31.48
	– AFTER TAX		**21.66**		5.98
NOTES ON ACCOUNTS	14				

Schedules 8 to 14 attached to the Profit and Loss Account are an intergral part thereof.

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

P.K. RUSTAGI
Secretary

New Delhi, the 29th January, 2008

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

Rs.in Crores (10 Million)

Schedule 1	30.09.2007	30.09.2006
SHARE CAPITAL		
Authorised:		
Equity Shares – 12,50,00,000 of Rs.10 each	**125.00**	125.00
14% Cumulative Redeemable Preference Shares – 7,00,000 of Rs.100 each	**7.00**	7.00
Preference Shares – 48,00,000 of Rs.100 each	**48.00**	48.00
	180.00	180.00
Issued, Subscribed and Paid up:		
Equity Shares – 3,07,94,510 of Rs.10 each fully paid up	**30.79**	30.79
	30.79	30.79

Includes 33,750 Bonus shares by way of capitalisation of reserves and 86,51,639 shares issued to the shareholders of erstwhile Vikrant Tyres Ltd. pursuant to the Scheme of Arrangement and Amalgamation without payment being received in cash.

Rs. in Crores (10 Million)

Schedule 2	30.09.2006	Additions	Transfers	30.09.2007
RESERVES AND SURPLUS				
Capital Reserve	191.84	**–**	**25.89 (a)**	**165.95 (b)**
Capital Redemption Reserve	7.00	**–**	**–**	**7.00**
Debenture Redemption Reserve	15.07	**5.02**	**5.25**	**14.84**
Securities Premium	178.02	**–**	**13.13 (c)**	**164.89**
General Reserve	141.12	**60.00**	**75.78 (d)**	**125.34**
Surplus in Profit and Loss Account	35.47	**35.34**	**35.47**	**35.34**
Foreign Currency Translation Reserve	0.05	**(0.15)**	**–**	**(0.10)**
	568.57	**100.21**	**155.52**	**513.26**

(a) Transfer to Profit and Loss Account Rs. 25.89 crs. towards additional depreciation arising out of revaluation of Fixed Assets.

(b) Represents revaluation reserve.

(c) Provision for premium on redemption of Zero Coupon Non-Convertible Debentures.

(d) Represents deferred tax laibility for transitional period upto 31st March, 2001
(Refer note No. 16 (b) of Schedule 14)

Rs. in Crores (10 Million)

Schedule 3	**30.09.2007**	30.09.2006
LOANS		
SECURED LOANS		
Zero Coupon Non-Convertible Debentures	**74.22**	95.22
Term Loans:		
Financial Institutions	**39.96**	53.92
Banks	**211.24**	221.54
Other Loans from Banks	**290.47**	271.60
Deferred Sales Tax	**70.95**	82.50
	686.84	724.78
UNSECURED LOANS		
Non-Convertible Debentures	**20.00**	–
Fixed Deposits	**44.24**	47.13
Deferred Sales Tax	**40.66**	29.78
Others	**0.58**	2.46
Short Term Loans :		
Banks	**110.65**	139.73
Others	**12.00**	–
	228.13	219.10

Schedule 4

FIXED ASSETS Rs.in Crores (10 Million)

Assets	Gross Value					Depreciation					Net Value	
	As at 30.09.2006	Additions	Transfer pursuant to the Scheme	Sales/ Adjustments	**As at 30.09.2007**	Upto 30.09.2006	For the Year	Transfer pursuant to the Scheme	Sales/ Adjustments	Upto 30.09.2007	**As at 30.09.2007**	As at 30.09.2006
Land – Freehold	12.60	–	–	–	**12.60**	–	–	–	–	–	**12.60**	12.60
– Leasehold	10.73	–	–	0.01	**10.72**	0.49	0.11	–	–	0.60	**10.12**	10.24
Buildings*	206.27	11.12	–	–	**217.39**	39.77	4.96	–	–	44.73	**172.66**	166.50
Plant & Machinery	1822.00	61.96	–	2.82	**1881.14**	806.26	94.24	–	2.55	897.95	**983.19**	1015.74
Office Equipements, Furniture & Fixtures	19.96	2.79	–	1.01	**21.74**	9.73	0.95	–	0.55	10.13	**11.61**	10.23
Vehicles	12.66	2.50	–	2.68	**12.48**	3.78	1.07	–	0.99	3.86	**8.62**	8.88
	2084.22	78.37	–	6.52	**2156.07**	860.03	101.33	–	4.09	957.27	**1198.80**	1224.19
2005-2006	1940.05	156.90	8.21	4.52	2084.22	764.81	97.50	0.79	1.49	860.03	1224.19	–

*Buildings include Rs.1.43 crs. constructed on lease land, 274 shares held in co-operative housing societies and property worth Rs.0.46 cr. yet to be registered in company's name.

Rs.in Crores (10 Million)

Schedule 5	**30.09.2007**	30.09.2006
INVESTMENTS		
LONG-TERM INVESTMENTS		
(Other than trade)		
Investment in Shares		
Equity	**0.63**	0.05
Preference	**14.61**	13.50
Investment in associates*	**10.12**	7.44
Bonds	**45.79**	46.34
Mutual Funds	**0.25**	0.25
Government and Trust Securities (Rs.12000 ; As at 30.09.2006 Rs.18500)		
	71.40	67.58

* Share of Post acquisition revenue profits have been recognised in carrying amount of investment in associates.

Rs.in Crores (10 Million)

Schedule 6	30.09.2007	30.09.2006
CURRENT ASSETS, LOANS AND ADVANCES		
A. CURRENT ASSETS		
Raw Materials	**153.20**	143.04
Stores and Spares	**13.61**	17.02
Finished Goods	**303.60**	189.38
Stock-in-Process	**32.44**	19.15
Debtors (unsecured, considered good):		
Debts over six months	**8.84**	10.45
Other Debts	**426.68**	467.44
Interest Accrued on Investments	**0.25**	0.18
Cash and Bank Balances:		
Cash on hand	**0.14**	0.11
Remittances in transit and Cheques on hand	**18.73**	26.68
Balances with Scheduled Banks:		
On Current Accounts	**5.48**	6.75
On Deposit Accounts	**5.68**	6.67
(Pledged with Bank- Rs.4.93 crs.; 30.09.2006: Rs.5.01 crs.)		
On Savings Bank Account		
(Rs.4657 ; As at 30.09.2006: Rs.4498 – for Employees Security Deposit)		
	968.65	886.87
B. LOANS AND ADVANCES (considered good)		
Secured Loan	**1.52**	1.52
Unsecured:		
Loans	**6.60**	6.60
Advances recoverable in cash or in kind or for value to be received	**86.88**	98.04
Deposit with Government Authorities and Others	**12.14**	10.96
Fringe Benefit Advance Tax Payments	**3.97**	3.47
MAT Credit Entitlement	**8.01**	0.47
Income Tax Advance Payments	**13.79**	7.15
	132.91	128.21
	1101.56	1015.08

Schedule 7

CURRENT LIABILITIES AND PROVISIONS

A. CURRENT LIABILITIES		
Acceptances	**10.93**	7.12
Sundry Creditors	**581.72**	546.55
Investor Education and Protection Fund	**1.97**	2.26
Other Liabilities	**199.47**	204.27
Interest accrued but not due on loans	**5.99**	6.17
	800.08	766.37
B. PROVISIONS		
Provision for Retirement Benefits	**13.13**	15.93
Provision for Taxation	**8.84**	1.30
Provision for Fringe Benefit Tax	**4.20**	4.51
Proposed Dividend	**8.32**	7.70
Provision for Corporate Dividend Tax	**1.41**	1.08
	35.90	30.52
	835.98	796.89

Rs.in Crores (10 Million)

Schedule 8	**2006-2007**	2005-2006
OTHER INCOME		
Income From Long Term Investments (other than trade)		
Dividends (Rs. 7000; 2005-06: Rs.5500)		
Interest (Include Tax at source Rs. 0.10 cr; 2005-06: Rs. 0.11cr.)	**0.33**	0.37
Profit on sale of Investments (Net)	**–**	5.44
Profit / (Loss) on sale of Assets (Net)	**–**	0.01
Reversal of provision for Diminution in value of long-term Investments (Rs. 5000)		0.05
Provision of earlier years no longer required	**0.02**	0.15
Miscellaneous Income	**10.15**	11.59
	10.50	17.61

Schedule 9		
INCREASE IN FINISHED GOODS		
Opening Stock	**189.38**	77.78
Closing Stock	**303.60**	189.38
	114.22	111.60
Differential Excise Duty on Increase of Finished Goods	**(21.09)**	(19.44)
	93.13	92.16

Schedule 10		
MATERIALS AND MANUFACTURING		
Raw Materials Consumed	**1956.95**	1885.04
(Increase) / Decrease in Stock-in-Process	**(13.29)**	1.27
Conversion Charges	**53.34**	59.68
Purchase of Finished Goods	**24.40**	27.04
Consumption of Stores and Spares	**31.75**	29.85
Power and Fuel	**139.79**	139.00
Repairs to Buildings	**2.60**	1.83
Repairs to Machinery	**7.00**	6.61
	2202.54	2150.32

Schedule 11		
EMPLOYEES		
Salaries, Wages, Bonus and Gratuity	**128.48**	110.37
Contribution to Provident and other Funds	**12.59**	11.96
Employees' Welfare and other Benefits	**35.65**	33.37
	176.72	155.70

Rs.in Crores (10 Million)

Schedule 12	**2006-2007**	2005-2006
OTHER EXPENSES		
Rent	**5.28**	4.09
Other Taxes	**4.84**	5.86
Insurance	**4.16**	3.55
Discount	**50.94**	48.11
Royalty	**8.31**	7.58
Advertisement	**19.90**	16.31
Directors' Fee	**0.03**	0.05
Commission	**14.95**	12.65
Sales Promotion Expenses	**11.30**	5.83
Loss / (Profit) on Sale of Assets (Net)	**0.37**	–
Loss on Sale of Investments	**0.01**	–
Deferred Revenue Expenditure Written off	**4.35**	5.68
Provision for Doubtful Debts / Advances	**0.50**	0.30
Bank charges, Printing & Stationery, Postage, Telephone, Travelling and other Miscellaneous Expenses	**58.43**	45.45
	183.37	155.46

Schedule 13		
INTEREST		
Interest on:		
Debentures, Term Loans and Fixed Deposits	**30.83**	33.40
Others	**60.27**	45.66
	91.10	79.06
Less: Received on Short term Loans and Others (Tax at source Rs.0.25 cr. ; 2005-2006 : Rs.0.30 cr.)	**2.09**	2.92
	89.01	76.14

Schedule 14

NOTES ON CONSOLIDATED FINANCIAL STATEMENTS

1. Principles of Consolidation:

   a) The Consolidated Financial Statements comprise of the financial statements of JK Tyre & Industries Limited (Parent Company) and the following as on 30.9.2007:

   i) Subsidiaries:

Name	Country of Incorporation	Proportion of ownership interest
J.K. International Ltd.	U.K	100%
J.K. Asia Pacific Ltd.	Hong Kong	100%
J.K. Asia Pacific (S) Pte Ltd.	Singapore	100%

   The accounts of J. K. International Ltd. (exempted from Audit) are for twelve months period (i.e from 1st April, 2006 to 31st March, 2007).

   ii) Associates:

Name	Status	Country of Incorporation	Ownership Interest	Financial Statement as on
Hari Shankar Singhania Elastomer and Tyre Research Institute	Audited	India	24.00%	31.3.2007
Valiant Pacific LLC.	Audited	UAE	49.00%	30.9.2007

   There are no significant transactions or other material events that have occurred between the balance sheet date of above companies and the parent company.

   b) The Financial Statements of the parent company and its subsidiaries have been consolidated on a line by line basis by adding together the book value of like items of assets, liabilities, income and expenses, after eliminating Intra-group balances and Intra-group transactions.

   c) In case of associates, where Company holds directly or indirectly through subsidiaries 20% or more equity or / and exercises significant influence, Investments are accounted for by using equity method in accordance with Accounting Standard (AS) 23 – "Accounting for investments in associates in consolidated financial statements".

   d) The Company accounts for its share in the change in net assets of the associates, post acquisition, after eliminating unrealised profits and losses resulting from transactions between the Company and its associates to the extent of its share, through its profit and loss account to the extent, such change is attributable to the associates' profit and loss account and through its reserves for the balance, based on available information.

   e) The difference between the cost of investment in the associates and the share of net assets at the time of acquisition of shares in the associates is identified in the financial statements as Goodwill or Capital Reserve as the case may be.

   f) The Consolidated Financial Statements have been prepared using uniform accounting policies, in accordance with the generally accepted accounting practices.

   g) Foreign Subsidiaries – Revenue items have been consolidated at the average rate of foreign exchange prevailing during the year. The assets and liabilities, both monetary and non- monetary, of the non-integral foreign operation are translated at closing rate. Exchange differences arising on monetary and non-monetary items that in substance forms part of the Company's net investment in Non-integral foreign operation are accumulated in the Foreign Exchange Translation Reserve.

   h) Significant Accounting Policies and Notes on Accounts of the financial statements of the company and its subsidiaries are set out in their respective Financial Statements.

2. The name of the Company has been changed from J.K. Industries Ltd. to JK Tyre & Industries Ltd. w.e.f. 2.4.2007.

3. Estimated amount of contracts remaining to be executed on capital account Rs. 21.91 crs. (Previous year: Rs.17.15 crs).

4. Contingent liabilities in respect of claims not accepted and not provided for Rs. 25.48 crs. (Previous year: Rs. 31.64 crs.). Details there-of are, Excise duty matters in appeal Rs. 3.52 crs, Service Tax matters Rs.1.47 crs, Sales Tax matters in appeal Rs.1.78 crs. & Other matters Rs.18.71 crs. (Previous year : Rs. 3.91 crs, Rs. 3.01 crs, Rs. 2.77 crs. & Rs. 21.95 crs. respectively).

5. Bills discounted with Banks outstanding Rs.31.55 crs. (Previous year : Rs. 35.95 crs.).

6. Excise Duty liability on account of valuation of Finished Goods is disputed and is yet to be determined. Without prejudice to the Company's stand in this behalf, as per Government's desire, an adhoc amount of Rs. 5.45 crs. was paid under protest in earlier years and debited to 'Advances Recoverable' and an equivalent amount was provided in Profit and Loss Account. On Writ Petition filed by the Company in the Hon'ble Delhi High Court, the said Court directed the Excise Authorities to determine the valuation of finished goods in accordance with law and observations made in the order.
7. The Company has given guarantees/letter of comfort to certain Banks and Financial Institutions in respect of loans outstanding as at 30.9.2007 aggregating to Rs.11.88 crs. (Previous year: Rs.14.80 crs.) in respect of bodies corporate against counter indemnities from such bodies corporate for any liability that may arise.
8. Miscellaneous expenditure to the extent not written off comprises of expenditure relating to Compensation paid under VRS, Share Issue expenses etc. Rs.8.22 crs. (Previous year: Rs. 9.16 crs.) amortised over expected duration of benefit i.e. 5 years.
9. Factory & Service buildings and Plant and Machinery of Company's Plant at Jaykaygram, were revalued as at 1st January, 1985 & 1st April, 1991. On 1st April, 1997 the revaluation of such assets was updated alongwith similar assets of Banmore plant. The revaluation of said assets of Jaykaygram and Banmore was further updated alongwith Factory Land and Township building as at 1st April, 2002 based on current replacement cost by a Valuer. The Gross Block as at 30.9.2007 as well as Previous year include cumulative surplus of Rs.667.78 crs. arising on revaluation.
10. Pursuant to the Scheme of Arrangement and Demerger (The Scheme) between the Company and Netflier Technologies Ltd. (name since changed to Netflier Finco Limited), approved by Hon'ble High Court of Calcutta vide their order dated 8.11.2006 becoming effective from the appointed date i.e. 1.10.2005, the necessary steps and formalities in respect of transfer of investments and assets in favour of Netflier Finco Limited are under implementation.
11. During the previous year, 36 lacs equity shares were allotted on preferential basis aggregating to Rs. 37.80 crs. The balance out of said proceeds has been utilized for the purpose, for which, it was raised.
12. a) Debts over six months and Advances are net of provisions made for Doubtful Debts Rs. 2.92 crs. and Advances Rs. 0.32 cr. (Previous year: Rs.3.90 crs. and Rs. 0.32 cr. respectively).
    b) Debts over six months / Advances include Rs.4.20 crs. (Previous year: Rs.4.41 crs.), for which legal and other necessary action has been taken. In the opinion of the Management, these debts are recoverable and the same have been classified as good.
13. a) In respect of certain disallowances and additions made by Income Tax Authorities, appeals are pending before the Appellate Authorities and adjustment, if any, will be made after the same are finally determined.
    b) In view of recent judgements, deferred tax has been considered as an admissible deduction for determining Book Profit under Section 115 JB (2) of the Income Tax Act, 1961.
14. The Company has worked out reversal of Modvat Credit availed on exports under Value Based Advance Licence in earlier years and had reversed the same in the accounts. Pursuant to special scheme announced by the Government, the Company has also paid interest on such reversals. Further, the Excise department has issued certain basis for reversal of Modvat, which is disputed and has been contested by the Company in a Writ Petition before the Hon'ble Delhi High Court and directions have been issued to treat the reversal already made by the Company as provisional.
15. Auditors of a subsidiary company, J.K. Asia Pacific Limited have invited attention towards recoverability in respect of amount due Rs. 0.58 cr. equivalent HK$ 1124838.00 (Previous year:Rs. 0.66 cr. equivalent HK$ 1124838.00) from an associate company.
16. a) Pursuant to the accounting standard on 'Accounting for Taxes on Income' (AS-22), deferred tax liability / (asset) are as under:

Rs. in Crores (10 Million)

		2006-2007		2005-2006
1. Deferred Tax Liability				
i) Related to Fixed Assets	**127.17**		13.77	
ii) Others	**0.56**	**127.73**	1.04	14.81
2. Deferred Tax Asset				
i) Disallowance under Income Tax Act, 1961	**9.58**		7.94	
ii) Provision for doubtful debts	**1.21**		0.49	
iii) Unabsorbed Depreciation	**11.62**		7.55	
iv) Related to Deferred Revenue Expenditure	**–**	**22.41**	0.44	16.42
3. Deferred Tax Liability / (Asset) - Net		**105.32**		(1.61)

b) In order to give effect to the provisions of Para 33 of AS-22 and pursuant to judgement of the Hon'ble Supreme Court, the Company has provided for deferred tax liability (net) of Rs. 75.78 crs. at prevailing rate of tax for the transitional period upto 31st March, 2001 from general reserve.

	Rs. in Crores (10 Million)	
	2006-2007	2005-2006
17. Earnings Per Share:		
a) Profit after Tax	**66.69**	16.98
b) Weighted average no. of Ordinary Share (Nos.)	**30794510**	28383003
c) Basic and Diluted Earnings per Ordinary Share (Rs.)		
– Cash	**56.27**	31.48
– After Tax	**21.66**	5.98

18. Related Parties:

a) Associates:

JK Lakshmi Cement Ltd. (formerly J. K. Corp. Ltd.)
Hari Shankar Singhania Elastomer and Tyre Research Institute
Valiant Pacific LLC.

b) Key Management Personnel:

Shri Raghupati Singhania	Vice Chairman & Managing Director
Shri Bharat Hari Singhania	Managing Director
Shri Vikrampati Singhania	Dy. Managing Director
Shri Swaroop Chand Sethi	Whole Time Director

The following transactions were carried out with associates in the ordinary course of business:

	Rs. in Crores (10 Million)	
Nature of Transactions	**2006-2007**	2005-2006
Sale of Goods	**223.98**	214.18
Purchases of Goods	**0.13**	0.07
Sale of Fixed Assets	**0.07**	–
Sharing of Expenses Received	**2.65**	0.55
Sharing of Expenses paid	**2.29**	2.07
Loans / Advances given	**3.88**	3.52
Loans / Advances recovered	**3.50**	2.55
Loans / Advances Received	**–**	0.49
Loans / Advances Repaid	**–**	1.28
Royalty income	**1.58**	2.09
Contribution	**2.90**	1.25
Outstanding as at year end – Receivable	**45.79**	39.94

Remuneration to Key Management Personnel for the Year Rs. 9.75 crs. (2005-2006: Rs.2.27crs.)

19. There is only one business segment i.e. Tyre.
20. Figures less than Rs. 50000 have been shown at actuals in bracket.
21. Figures pertaining to Subsidiary Companies have been reclassified wherever necessary to bring them in line with the parent Company's Financial Statement.
22. Figures for the previous year have been regrouped/rearranged, wherever necessary.

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

P.K. RUSTAGI
Secretary

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

New Delhi, the 29th January, 2008

CONSOLIDATED CASH FLOW STATEMENT

For the year ended 30th September, 2007

Rs. in Crores (10 Million)

		2006-2007	2005-2006
A.	**CASH FLOW FROM OPERATING ACTIVITIES:**		
	Net profit before tax and extraordinary items	**100.71**	21.73
	Adjusment for :		
	Depreciation	**101.33**	97.50
	Transferred from capital reserve	**(25.89)**	(26.57)
	Interest Expenses	**91.10**	79.06
	(Profit) / Loss on sale of assets	**0.37**	(0.01)
	Deferred revenue expenditure written off	**4.35**	5.68
	(Profit) / Loss on sale of Investment	**0.01**	(5.44)
	Foreign Exchange Fluctuation	**(3.03)**	(0.40)
	Reversal of provision for diminution of Investments (Rs.5000)		(0.05)
	Interest / Dividend Received	**(2.42)**	(3.30)
	Provision for Doubtful Debts/Advances and Balances written off	**0.50**	0.30
	Operating Profit before working capital changes	**267.03**	168.50
	(Increase) / Decrease in Trade and Other Receivables	**49.79**	(70.45)
	(Increase) / Decrease in Inventories	**(134.26)**	(124.56)
	Increase / (Decrease) in Trade Payables	**26.12**	79.12
	Cash generated from Operations	**208.68**	52.61
	Deferred revenue expenditure	**(3.41)**	(1.90)
	Direct taxes (net)	**(10.32)**	(5.14)
	Net Cash from operating actvities	**194.95**	45.57
B.	**CASH FLOW FROM INVESTING ACTIVITIES:**		
	Purchase of Fixed Assets	**(76.93)**	(114.22)
	Sale of Fixed Assets	**2.06**	1.77
	Movement in Loan	**–**	1.00
	Purchase of Investments	**(1.69)**	(1.40)
	Sale of Invesments	**0.54**	7.27
	Interest Received	**2.35**	4.03
	Net Cash used in investing activities	**(73.67)**	(101.55)
C.	**CASH FLOW FROM FINANCING ACTIVITIES:**		
	Equity share Capital	**–**	37.80
	Proceeds from borrowings	**145.78**	246.14
	Repayment of borrowings	**(174.87)**	(132.85)
	Interest Paid	**(93.44)**	(83.39)
	Dividend paid (including dividend tax)	**(8.86)**	(8.56)
	Net cash used in financing activities	**(131.39)**	59.14
	Net increase in cash and cash equivalents	**(10.11)**	3.16
	Cash and Cash Equivalents as at the begining of the year	**40.21**	37.47
	Transferred Pursuant to the Scheme of Arrangement and Demerger	**–**	(0.50)
	Foreign Currency Translation gain / (loss) on Cash and Cash equivalent	**(0.07)**	0.08
	Cash and Cash Equivalents as at the end of the year	**30.03**	40.21

Notes:

1 Cash and Cash Equivalents Include:

	2006-2007	2005-2006
– Cash, Cheques in hand and Remittances in transit	**18.87**	26.79
– Balances with Scheduled Banks	**11.23**	13.34
– Unrealised Translation gain / (Loss) on Foreign Currency balances	**(0.07)**	0.08
Total	**30.03**	40.21

As per our report of even date

For LODHA & CO.
Chartered Accountants

N.K. LODHA
Partner

New Delhi, the 29th January, 2008

P.K. RUSTAGI
Secretary

H.S. SINGHANIA — *Chairman*
RAGHUPATI SINGHANIA — *Vice Chairman & Managing Director*
BHARAT HARI SINGHANIA — *Managing Director*
BAKUL JAIN
OM PRAKASH KHAITAN
DR. VINAYSHIL GAUTAM
ARVIND SINGH MEWAR — *Directors*
SOBHA NAMBISAN
S.C. SETHI
VIKRAMPATI SINGHANIA

J.K. ASIA PACIFIC LIMITED

(Incorporated in Hong Kong with Limited Liability)

DIRECTORS' REPORT

The directors present their annual report and the audited financial statements for the year ended 30th September, 2007.

PRINCIPAL ACTIVITIES

The company had no trading activity during the year.

RESULTS AND DIVIDENDS

The results of the company for the year ended 30th September, 2007 and the state of its affairs at that date are set out on pages 4 to 11 of the financial statements. The directors do not recommend the payment of any dividend.

DIRECTORS

The names of the persons who were directors during the year and to the date of this report are:-

Ashok Kumar KINRA

Vinod Kumar MATHUR

There being no provision in the company's Articles of Association for the retirement of directors, all directors continue in office for the ensuing year.

DIRECTORS' INTERESTS

No contracts of significance to which the company was a party and in which a director had a material interest existed at the end of the year or at any time during the year. At no time during the year was the company a party to any arrangements to enable the directors to acquire benefits by means of the acquisition of shares in or debentures, of the company or any other body corporate.

AUDITORS

The financial statements have been audited by Pearson Fearn & Co. who retire and, being eligible, offer themselves for re-appointment.

ON BEHALF OF THE BOARD

A K KINRA

Hong Kong, 18th October, 2007 *Director*

AUDITORS REPORT

TO THE SHAREHOLDERS OF J.K. ASIA PACIFIC LIMITED

(Incorporated in Hong Kong with Limited Liability)

We have audited the financial statements of J.K. Asia Pacific Limited set out on pages 3 to 11, which comprise the statement of financial position as at 30th September, 2007 and the income statement, statement of changes in equity and cash flow statement for the period then ended and a summary of principal accounting policies and other explanatory notes.

RESPONSIBILITIES OF THE DIRECTORS FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation and the true and fair presentation of these financial statements in accordance with Hong Kong Financial Reporting Standards issued by the Hong Kong Institute of Certified Public Accountants. This responsibility includes designing, implementing and maintaining internal controls relevant to the preparation and the true and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

RESPONSIBILITIES OF AUDITORS

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Hong Kong Standards on Auditing issued by the Hong Kong Institute of Certified Public Accountants. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit includes performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the company preparation and true and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

BASIS OF OPINION

We conducted our audit in accordance with Statements of Auditing Standards issued by the Hong Kong Institute of Certified Public Accountants, except that the scope of our work was limited as explained below. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance as to whether the financial statements are free from material misstatement. However, the evidence available to us was limited because of the matters referred to below.

1. There was insufficient information relating to the existence and hence the recoverability of the amount due from associated company and the valuation of the interest in associated company. There were no other satisfactory audit procedures that we could adopt to ascertain if the amount due from associated company exists and is recoverable and as to whether there had been any impairment of the company's interest in associated company. Any adjustment to the figure may have a consequential significant effect on the result for the year and the financial position at 30th September, 2007.
2. The financial information of the associated company is not available, therefore the financial statements do not disclose the aggregate amounts of the Company's share of the net assets and results of the associated company as if the equity method had been applied as required by Statement of Standard Accounting Practice No. 10: "Accounting for Investments in Associates" issued by the Hong Kong Institute of Certified Public Accountants. These information is necessary for a proper understanding of the Company's affairs and result of operations.

In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements. We believe that our audit provides a reasonable basis for our opinion.

QUALIFIED OPINION: DISCLAIMER ON VIEW GIVEN BY FINANCIAL STATEMENTS

In view of the absence of disclosure of the aggregate amounts of the Company's share of the net assets and results of associated company referred to above and the significance of the possible effect of the limitation in evidence available to us in respect of the amount due from associated company and the interest in associated company, we are unable to form an opinion as to whether the financial statements give a true and fair view of the state of affairs of the Company as at 30th September 2007 and of its loss and cash flows for the year then ended. In all other respects, in our opinion the financial statements have been properly prepared in accordance with Hong Kong Financial Reporting Standards and have been properly prepared in accordance with the Hong Kong Companies Ordinance.

In respect alone of the limitation on our work relating to the amount due from the interest in associated company:

- we have not obtained all the information and explanations that we considered necessary for the purpose of our audit; and
- we are unable to determine whether proper books of account had been kept.

PEARSON FEARN & CO.

Hong Kong, 18th October, 2007 Certified Public Accountants

BALANCE SHEET

AS AT 30th SEPTEMBER, 2007

	Note	30.09.2007 HK$	30.09.2006 HK$
Non-current assets			
Investment in subsidiary company	6	589,159	589,159
Investment in associated company	7	1,745,520	1,745,520
		2,334,679	2,334,679
Current assets			
Bank balances		2,973	1,201
Time deposits		–	128,066
Interest receivable		–	1,126
Prepaid Expenses		3,833	–
Other investment		103,121	–
		109,927	130,393
Current liabilities			
Sundry creditors and accruals		24,267	14,934
Net current assets		85,660	115,459
Net Assets		2,420,339	2,450,138
Capital and Reserves			
Share capital	8	1,999,999	1,999,999
Retained profits		420,340	450,139
		2,420,339	2,450,138

The financial statements on pages 4 to 11 were approved by the Board of Directors on 18th October, 2007 and are signed on its behalf by :

On the behalf of the Board

PEARSON FEARN & CO.

Certified Public Accountants A.K. Kinra

Hong Kong V.K. Mathur *Directors*

PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30TH SEPTEMBER, 2007

	Note	2006 – 2007 HK$	2005 – 2006 HK$
Income			
Turnover	4	2,079	5,712
Expenses			
Auditors' remuneration		15,000	9,000
Bank charges & interest		1,343	789
Business registration fee		2,600	3,033
Directors' remuneration - fees		4,000	4,167
Professional fees		8,000	19,134
Miscellaneous		935	850
		31,878	36,973
(Loss) for the period before taxation		(29,799)	(31,261)
Taxation	3&5	–	–
(Loss) for the period after taxation		(29,799)	(31,261)

On the behalf of the Board

PEARSON FEARN & CO.

Certified Public Accountants A.K. Kinra

Hong Kong V.K. Mathur *Directors*

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH SEPTEMBER, 2007

	Share Capital HK$	Retained Profits/ (Losses) HK$	Total HK$
Equity at 1st October, 2005	1,999,999	481,400	2,481,399
Net (loss) for the year ended 30th September, 2006		(31,261)	(31,261)
Equity at 30th September, 2006	1,999,999	450,139	2,450,138
Net (loss) for the year ended 30th September, 2007		(29,799)	(29,799)
Equity at 30th September, 2007	1,999,999	420,340	2,420,339

J.K. ASIA PACIFIC LIMITED

CASH FLOW STATEMENT

FOR THE YEAR ENDED 30TH SEPTEMBER, 2007

	2006 – 2007 HK$	2005 – 2006 HK$
CASH FLOWS FROM OPERATING ACTIVITIES:		
Operating (loss) before taxation	(29,799)	(31,261)
Movements in working capital elements:		
Interest receivable	1,126	(1,112)
Prepayments	(3,833)	9,250
Sundry creditors and accruals	9,333	2,934
Net cash generated from / (used in) operating activities	(23,173)	(20,189)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Investment in UBS AG	(103,121)	–
Net Increase / (Decrease) in Cash and Bank Balances	(126,294)	(20,189)
Cash and Banks Balances at Beginning of the year	129,267	149,456
Cash and Bank Balances at end of the year	2,973	129,267

NOTES TO THE FINANCIAL STATEMENTS

1. GENERAL

The company is a private company incorporated in Hong Kong with limited liability. Its registered office is located at 1403-4 Dominion Centre, 43-59 Queen's Road East, Hong Kong. The company had no trading activity during the period.

2. BASIS OF PREPARATION OF FINANCIAL STATEMENTS

Basis of preparation of the accounts

The financial statements have been prepared using the historical basis of accounting in accordance with generally accepted accounting principles in Hong Kong and with accounting standards issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA").

The HKICPA has issued a number of new and revised Hong Kong Financial Reporting Standards (HKFRS) and Hong Kong Accounting Standards (collectively referred to as new HKFRSs) which are effective for accounting periods beginning on or after 1st January, 2005. The company has adopted the new HKFRSs, which are relevant to its operations.

The preparation of financial statements in conformity with the HKFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the company's accounting policies. The estimates and the underlying assumption are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

3. PRINCIPAL ACCOUNTING POLICIES

Translation of Foreign Currencies

Transactions in foreign currencies during the year are translated at the exchange rates ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rates of exchange ruling at the balance sheet date. Gains or losses arising on exchange are dealt with in the income statement.

Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are translated at the rates of exchange ruling at the dates, the fair value was determined.

Revenue Recognition

Interest income is recognised on a time apportionment basis.

Taxation

Taxation for the year comprises current tax and movements in deferred tax assets and liabilities. Current tax and movements in deferred tax assets and liabilities are recognised in the income statement except to the extent that they relate to items recognised directly in equity.

Current tax is the expected tax payable on the taxable income for the year, using tax rates in force at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax assets and liabilities arise from deductible and taxable temporary differences respectively, being the differences between the carrying amounts of assets and liabilities for financial reporting purposes and their tax bases. Deferred taxation is provided in full, where material, using the liability method, on temporary differences. Deferred tax assets arise from unused tax losses and tax credits.

The amount of deferred tax recognised based upon the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates in force at the balance sheet date.

Deferred tax assets are recognised to the extent that it is probable that future taxable profit will be available against which material temporary differences can be utilised. The carrying amount of a deferred tax asset is reviewed at the balance sheet date and is reduced to the extent that is no longer probable that sufficient taxable profit will be available in future to allow the related tax benefit to be utilised. Such reductions are reversed to the extent that it becomes probable that sufficient taxable profit will be available.

Consolidated Financial Statements

Consolidated financial statements have not been prepared as the Company is a wholly owned subsidiary of another body corporate, JK Tyre & Industries Limited, incorporated in India.

Subsidiary Company

A subsidiary company is entity in which the company holds more than half of the issued share capital; controls more than half of the voting power or the composition of the board of directors.

An investment in subsidiary company is stated at cost less any provision for impairment losses. A result of subsidiary company is accounted for on the basis of dividends received and receivable.

Associated Company

A company where at least 20% but not more than 50% of the issued share capital is held for the long term and where a significant influence over that company's management is exercised is deemed to be an associated company.

Investments in associated companies are stated at cost less any provision for impairment losses. Results of associated companies are accounted for on the basis of dividends received and receivable.

4. TURNOVER

Turnover represents interest income received.

5. TAXATION

Current Taxation

No provision for taxation has been made (2006: HK$ nil) as the company has an estimated loss for Hong Kong profits tax purposes for the year.

Deferred Taxation

At the balance sheet date, the company has a deferred tax asset of HK$ 11,321 (2006 - HK$ 6,470) in respect of tax losses. This deferred tax asset is not reflected in these financial statements due to the unpredictability of future taxable profits.

6. INVESTMENT IN SUBSIDIARY COMPANY

	2006 – 2007 HK$	2005 – 2006 HK$
Unlisted shares, at cost	589,159	589,159

The company has a 100% equity interest in J.K. Asia Pacific ($) Pte. Ltd which is incorporated in Singapore and is principally engaged in the import and export of tyres.

The net aggregate post acquisition profits less losses of the subsidiary company, attributable to the company, are as follows:-

	2006 – 2007 HK$	Prior years HK$	Total HK$
Dealt with in the company's accounts	–	–	–
Not dealt with in the company's accounts	–	8,636,391	8,636,391
	–	8,636,391	8,636,391

7. ASSOCIATED COMPANY

	2006 – 2007 HK$	2005 – 2006 HK$
Unlisted investment:		
Shares, at cost	620,682	620,682
Amount due from associated company	1,124,838	1,124,838
	1,745,520	1,745,520

The company has a 27% equity interest in J.K. International Limited which is incorporated in England and Wales. This company is now dormant.

The amount due from associated company is unsecured, interest free with no fixed repayment terms.

8. SHARE CAPITAL

	2006 – 2007 HK$	2005 – 2006 HK$
Authorised:-		
2,000,000 ordinary shares of HK$1 each	2,000,000	2,000,000
Issued and fully paid:-		
1,999,999 ordinary shares of HK$1 each	1,999,999	1,999,999

9. ULTIMATE HOLDING COMPANY

The directors consider the ultimate holding company to be J.K. Tyre & Industries Limited, incorporated in India.

J.K.ASIA PACIFIC (S) PTE LTD

(Incorporated in the Republic of Singapore)

REPORT OF THE DIRECTORS

The directors submit their report to the members together with the audited financial statements of the company for the year ended 30 September, 2007.

DIRECTORS

The directors in office at the date of this report are: -

ASHOK KUMAR KINRA

HARSH KUMAR CHOPRA

P. S. RAMANATHAN

ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of the financial year nor at any time during the year was the company a party to any arrangement, whose object was to enable the directors of the company to acquire benefits through the acquisition of shares in or debentures, of the company or any other body corporate.

DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register of directors' shareholdings, none of the directors holding office at 30 September, 2007 had any interest in the shares in or debentures of, the Company or any other related corporation.

OPTIONS

No options were granted during the financial year to take up unissued shares of the company.

No shares were issued by virtue of the exercise of options.

There were no unissued shares under option at the end of the financial year.

AUDITORS

The auditors, M/S MGI N Rajan Associates have expressed their willingness to accept re-appointment.

On behalf of the directors,
ASHOK KUMAR KINRA
HARSH KUMAR CHOPRA

India. 24th December, 2007 *Directors*

STATEMENT BY DIRECTORS

In our opinion :-

(a) the financial statements set out on pages 5 to 16 are drawn up so as to give a true and fair view of the state of affairs of the Company as at 30 September, 2007 and of the results of the business, changes in equity and the cash flows of the company for the year ended on that date; and

(b) at the date of this statement, there are reasonable grounds to believe that the company will be able to pay its debts as and when they fall due.

On behalf of the directors,
ASHOK KUMAR KINRA
HARSH KUMAR CHOPRA

India. 24th December, 2007 *Directors*

AUDITORS' REPORT

TO THE MEMEBERS OF J.K. ASIA PACIFIC (S) PTE LTD

We have audited the accompanying financial statements of J.K. ASIA PACIFIC (S) PTE LTD which comprise the balance sheet of the Company as at 30th September, 2007, the statement of changes in equity of the Company, the income statement and cash flow statement of the Company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

DIRECTOR'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with Singapore Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedure selected depends on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

In our opinion:-

(a) the financial statements are properly drawn up in accordance with the provisions of the Companies Act, Cap.50 (the "Act") and Singapore Financial Reporting Standards so as to give a true and fair view of the state of affairs of the company as at 30 September, 2007 and of the results, changes in equity of the company and the cash flows of the company for the year ended on that date ; and

(b) the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

MGI N RAJAN ASSOCIATES

SINGAPORE, 26th December, 2007 *CERTIFIED PUBLIC ACCOUNTANTS*

BALANCE SHEET

AS AT 30TH SEPTEMBER, 2007

	NOTE	30.9.2007 S$	30.9.2006 S$
Non-Current Assets			
Investment in associates	5	3,664,025	2,727,932
		3,664,025	2,727,932
Current Assets			
Cash and cash equivalents	6	171,999	172,670
Fixed Deposits	7	103,614	104,686
		275,613	277,356
Current Liabilities			
Bank overdraft	8	7,894	2,640
Other Payables	9	4,500	4,500
		12,394	7,140
Net Current Assets		263,219	270,216
Net Assets		3,927,244	2,998,148
Equity			
Issued capital	10	130,000	130,000
Accumulated profits		3,797,244	2,868,148
Total Equity		3,927,244	2,998,148

(The annexed notes form an integral part of and should be read in conjunction with these accompanying financial statements).

PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30TH SEPTEMBER, 2007

	Note	2007 S$	2006 S$
Revenue		–	–
Other operating income		11,217	4,685
Other operating expenses	3	(18,214)	(22,445)
(Loss) from operations		(6,997)	(17,760)
Share of profit of associates		936,093	976,593
Profit from operations before taxes		929,096	958,833
Tax expense	4	–	–
Net profit for the year after taxes		929,096	958,833

(The annexed notes form an integral part of and should be read in conjunction with these accompanying financial statements.)

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH SEPTEMBER, 2007

	Issued Capital S$	Accumulated Profits S$	Total S$
Balance, at 30.09.2005	130,000	1,909,315	2,039,315
Issuance of ordinary shares	–	–	–
Net profit for the year	–	958,833	958,833
Balance, at 30.09.2006	130,000	2,868,148	2,998,148
Issuance of ordinary shares	–	–	–
Net profit for the year	–	929,096	929,096
Balance, at 30.09.2007	130,000	3,797,244	3,927,244

(The annexed notes form an integral part of and should be read in conjunction with these accompanying financial statements.)

J.K. ASIA PACIFIC (S) PTE LTD

CASH FLOW STATEMENT

	Year ended 30.09.2007 S$	Year ended 30.09.2006 S$
Cash flows from operating activities:		
Net profit before taxation	929,096	958,833
Adjustments for:		
Share of profit from associated company	(936,093)	(976,593)
Interest income	(11,217)	(4,685)
Operating profit before working capital changes	(18,214)	(22,445)
(Increase) / decrease in fixed deposits	1,072	2,209
Cash generated (used in) operations	(17,142)	(20,236)
Income tax paid	–	–
Net cash (used in) operating activities	(17,142)	(20,236)
Cash flows from investing activities :		
Interest income	11,217	4,685
Net cash generated from / (used in) investing activities	11,217	4,685
Net increase / (decrease) in cash	(5,925)	(15,551)
Cash and cash equivalents at beginning of year	170,030	185,581
Cash and cash equivalents at end of year	164,105	170,030
Cash and cash equivalents comprise of :-		
Cash at bank, note 6	171,999	172,670
Bank overdraft, note 8	(7,894)	(2,640)
	164,105	170,030

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

NOTES TO THE FINANCIAL STATEMENTS

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

The company is incorporated in the Republic of Singapore with its registered office at 10 Jalan Besar, #10-12 Sim Lim Tower, Singapore 208787.

The principal activities of the company are to carry on the business of importers, exporters in all kinds of tyres.

However, the Company did not transact any business during the financial year.

The Company's Holding Company is J.K. Asia Pacific Ltd, a company incorporated in Hong Kong and its ultimate holding company is JK Tyre & Industries Ltd, a company incorporated in India.

The financial statements of the company for the year ended 30th September, 2007 were authorised for issue in accordance with a resolution of the directors on the date of the Statement By Directors.

2. SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The financial statements have been prepared in accordance with Singapore Financial Reporting Standards (FRS) as required by the Companies Act. The financial statements have been prepared under the historical cost convention except as disclosed in the accounting policies below.

The preparation of these financial statements in conformity with FRS requires management to exercise its judgement in the process of applying the Company's accounting policies. It also requires the use of certain critical accounting estimates and assumptions made by the Company that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

The financial statements of the company are expressed in Singapore dollars.

Interpretations and amendments to published standards effective in 2006.

On 1st January 2006, the company adopted the new or revised FRS and interpretations to FRS (INT FRS) that are mandatory for application from that date. Changes to the company's accounting policies have been made as required, in accordance with the relevant transitional provisions in the respective FRS and INT FRS.

The following are the FRS and INT FRS that are relevant to the company.

FRS 19 (Revised) Employee benefits.

FRS 21 (Revised) The Effects of changes in Foreign Exchange rates

The adoption of the FRS or INT FRS did not result in any substantial changes to the company's accounting policies.

Associates

An associated company is an entity, not being a subsidiary or a joint venture, in which the company has significant influence. This generally coincides with the company having 20% or more of the voting power, or has representation on the board of directors.

The Company's investment in associates are accounted for using the equity method. Under the equity method, the investment in associate is carried in the balance sheet at cost plus post–acquisition changes in the company's share of net assets of the associate. The company's share of the profit or loss of the associate is recognized in the consolidated profit and loss account. Where there has been a change recognized directly in the equity of the associate, the company recognizes its share of such changes. After application of the equity method, the company determines whether it is necessary to recognize any impairment loss with respect to the company's net investment in the associate. The associate is equity accounted for from the date of the company obtains significant influence until the date the company ceases to have significant influence over the associate.

Goodwill relating to an associate is included in the carrying amount of the investment.

Any excess of the company's share of the net fair value of the associate's identifiable assets, liabilities and contingent liabilities over the cost of the investment is excluded from the carrying amount of the investment and is instead included as income in the determination of the company's share of the associate's profit or loss in the year in which the investment is acquired.

When the company's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the company does not recognize further losses, unless it has incurred obligations or made payments on behalf of the associate.

The most recent available audited financial statements of the associates are used by the company in applying the equity method. Where the dates of the audited financial statements used are not co-terminous with those of the company, the share of the results is arrived at from the last audited financial statements available and unaudited management financial statements to the end of the accounting year. Consistent accounting policies are applied for like transactions and events in similar circumstances.

Financial Assets

Classification

The Company classifies its financial assets as loans and receivables. The classification depends on the purpose for which the assets were acquired. Management determines the classification of its financial assets at initial recognition and re-evaluates this designation at every reporting date.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or payments that are not quoted in an active market. They are included in current assets, except those maturing later than 12 months after the balance sheet date which are classified as non-current assets. Loans and receivables are classified within "trade and other receivables" and "cash and cash equivalents" on the balance sheet.

Recognition and derecognition

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all risks and rewards of ownership.

Measurement

Financial assets are initially recognised at fair value plus transaction costs.

Loans and receivables are subsequently carried at amortised cost using the effective interest method.

Impairment

Loans and receivables

An allowance for impairment of loans and receivables, including trade and other receivables, is recognised when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganization, and default or delinquency in payments are considered indicators that the receivable is impaired. The amount of allowance is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The amount of the allowance for impairment is recognised in the income statement.

Impairment of non – financial assets

The carrying amounts of the assets are reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) of the asset is estimated to determine the amount of impairment loss.

For the purpose of impairment testing of these assets, recoverable amount is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. If this is the case, recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs.

If the recoverable amount of the asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount.

The impairment loss is recognised in the income statement unless the asset is carried at revalued amount, in which case, such impairment loss is treated as a revaluation decrease.

An impairment loss for an asset other than goodwill is reversed if and only if, there has been a change in the estimate used to determine the asset's recoverable amount since the last impairment loss was recognised. The carrying amount of an asset other than goodwill is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years. A reversal of impairment loss for an asset other than goodwill is recognised in the income statement, unless the asset is carried at revalued amount, in which case, such reversal is treated as a revaluation increase. However, to the extent that an impairment loss on the same revalued asset was previously recognised in the income statement, a reversal of that impairment is also recognised in the income statement.

Currency translation

Functional currency

Items included in the financial statements are measured using the currency that best reflects the economic substance of the underlying events and circumstances relevant to the company ("the functional currency"). The financial statements are prepared in Singapore dollar, which is the functional currency of the Company.

Transactions and balances

Monetary assets and liabilities in foreign currencies are translated into Singapore dollar at rates of exchange closely approximating those ruling at balance sheet date. Transactions in foreign currencies are converted at rates closely approximating those ruling at transaction dates. Exchange differences arising from such transactions are recorded in the profit and loss account in the year in which they arise. However, where a foreign currency transaction is to be settled at a contracted rate or is covered by a related or matching forward exchange contract, the rate of exchange specified in the contract will be used and any corresponding monetary assets or liabilities will not be retranslated.

Taxation

The liability method of tax effect accounting is adopted by the company. Current taxation is provided at the current taxation rate based on the tax payable on the income for the financial year that is chargeable to tax. Deferred taxation is provided at the current taxation rate on all temporary differences existing at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

Deferred tax liabilities are recognized for all taxable temporary differences (unless the deferred tax liability arises from goodwill or the initial recognition of an asset or liability in a transaction that is not a business combination and at the time of the transaction, affects neither the accounting profit nor taxable profit or loss).

Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences can be utilized (unless the deferred tax asset arises from good will or the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss).

The statutory tax rates enacted at the balance sheet date are used to determine deferred income tax.

Share capital

Ordinary shares are classified as equity. Incremental external costs directly attributable to the issue of new shares, other than on a business combination, are shown in equity as a deduction, net of tax, from the proceeds. Share issue costs incurred directly in connection with a business combination are included in the cost of acquisition.

Cash and cash equivalents

Cash and cash equivalents comprise bank deposits and fixed deposits.

Trade and other payables

Trade and other payables are initially recognized at fair value (net of transaction costs), and subsequently carried at amortised cost, using the effective interest method.

3. OTHER OPERATING EXPENSES

The following items have been included in arriving. at other operating expenses	2006-2007 S$	2005-2006 S$
Foreign exchange losses	12,624	17,569

4. TAX EXPENSE

Current taxation	–	–
Deferred taxation	–	–
	–	–

The tax expense on the results of the financial year varies from the amount of income tax determined by applying the Singapore statutory rate of income tax on company's profit as a result of the following:-

	2006-2007 S$	2005-2006 S$
Profit before taxation	929,096	958,833
Tax at statutory rate of 18% (2006:20%)	167,237	191,767
Others	(168,497)	(195,319)
Deferred tax assets not recognized	1,260	3,552
	–	–

No current taxation for the financial year ended 30 September, 2007 had been provided in the financial statements as the company had no taxable profit. The company had tax losses at 30th September, 2007 amounting to approximately S$40,819 (2006: S$33,822) which are subject to agreement with the tax authorities. These tax losses could be carried forward for offsetting against future taxable income provided that the provisions of Section 23 and 37 of the Singapore Income Tax Act, Cap. 134 are complied with.

Unutilised tax benefits at 30th September, 2007 arising from tax losses had not been recognized as there was no reasonable certainty of their realization in future years.

5. INVESTMENT IN ASSOCIATE COMPANY

	2006-2007 S$	2005-2006 S$
Unquoted shares, at cost	73,703	73,703
Add :		
Post-acquisition profits brought forward	2,654,229	1,677,636
Share of profits	936,093	976,593
Balance at the end of year	3,664,025	2,727,932

The summarized financial information of associated company are as follows:

– Assets	18,074,014	16,883,137
– Liabilities	11,181,562	11,565,215
– Revenues	103,758,777	99,704,062
– Net profit	1,910,393	1,993,047

Details of the associated company at end of financial year are as follows:-

Name of Company	Principal Activities	Country of Incorporation	Percentage of equity held % At 30.09.2007	% At 30.09.2006	Cost of Investment At 30.9.2007 S$	At 30.09.2006 S$
Valiant Pacific LLC	Importers, Exporters in all kinds of tyres	Dubai	49	49	73,703	73,703

6. CASH & CASH EQUIVALENTS

	2006-2007 S$	2005-2006 S$
*Call deposits	158,418	–
Cash at bank	13,581	172,670
	171,999	172,670

*Call deposit mature on varying dates within 12 months from the financial year end. The effective interest rate of this deposit as at 30th September, 2007 is 4.295% (2006:nil).

7. FIXED DEPOSITS

The fixed deposits mature on a monthly basis. The effective interest rate of these deposits as at 30th September, 2007 is 4.93% (2006:3.28%). The fixed deposits include an amount of S$77,248 (2006:S$104,686) under lien to the bank.

8. BANK OVERDRAFT

This is secured by the fixed deposits of the Company under lien to the bank. Interest is charged at 9% per annum (2006:9.5%).

9. OTHER PAYABLES

	2007 S$	2006 S$
Accrued Liabilities	4,500	4,500
	4,500	4,500

10. SHARE CAPITAL

	2006-2007 S$	2005-2006 S$
Issued & fully paid up	130,000	130,000

11. FINANCIAL RISK MANAGEMENT

The Company's activities do not expose itself to any financial risks except for interest rate risk as the Company remains dormant during the financial year.

DETAILED PROFIT AND LOSS ACCOUNT
FOR THE YEAR ENDED 30th SEPTEMBER, 2007

		S$	S$
Sales			–
Add :	Fixed deposit interest		5,251
	Other Interest		5,966
			11,217
Less :	Expenditure		
	Audit fee	2,000	
	Accounting fee	300	
	Bank charges	386	
	Overdraft interest	539	
	General expenses	165	
	Loss on exchange	12,624	
	Professional fee	1,600	
	Registered office facilities	600	18,214
	Net (loss) for the year		(6,997)

This does not form part of the audited financial statements.

J.K. INTERNATIONAL LIMITED

Report of the Directors

for the year ended 31st March, 2007

The directors present their report with the financial statements of the company for the year ended 31st March, 2007.

DIRECTORS

The directors during the year under review were:

Mr. A K Kinra
Mr. H K Chopra

The directors holding office at 31st March, 2007 did not hold any beneficial interest in the issued share capital of the company at 1st April, 2006 or 31st March, 2007.

EURO CURRENCY

The directors have considered the issues arising form the possible introduction of the Euro currency and do not consider they will have a material effect on the company.

This report has been prepared in accordance with the special provisions of Part VII of the Companies Act,1985 relating to small companies.

On behalf of the Board
H K Chopra
Date: 30th June, 2007 *Director*

J.K. INTERNATIONAL LIMITED

Balance Sheet

As At 31st March, 2007

	Notes	31.03.2007 £	31.03.2006 £
CURRENT ASSETS			
Cash at bank		1,051	1,051
CREDITORS:			
Amounts falling due within one year	2	588	588
NET CURRENT ASSETS		463	463
TOTAL ASSETS LESS CURRENT LIABILITIES		463	463
CAPITAL AND RESERVES			
Called up share capital	3	185,000	185,000
Profit and loss account		(184,537)	(184,537)
SHAREHOLDERS' FUNDS		463	463

The company is entitled to exemption from audit under Section 249AA(1) of the Companies Act,1985 for the year ended 31st March, 2007.

The members have not required the company to obtain an audit of its financial statements for the year ended 31st march, 2007 in accordance with Section 249B(2) of the companies Act,1985.

The directors acknowledge their responsibilities for:

(a) ensuring that the company keeps accounting records which comply with Section 221 of the Companies Act,1985 and

(b) preparing financial statements which give a true and fair view of the state of affairs of the company as at the end of each financial year and of its profit or loss for each financial year in accordance with the requirements of Section 226 and which otherwise comply with the requirements of the Companies Act,1985 relating to financial statements, so far as applicable to the Company.

These financial statements have been prepared in accordance with the Financial Reporting Standard for Smaller Entities (effective January, 2005).

The financial statements were approved by the board of Directors on 30th June, 2007 and were signed on its behalf by:

A. K. Kinra
The notes form part of these financial statements. *Director*

J.K. INTERNATIONAL LIMITED

Profit and Loss Account

for the year ended 31st March, 2007

During the financial year and the preceding financial year the company has not traded and has received no income and incurred no expenditure. Consequently, during those periods the company has made neither a profit nor a loss.

Notes to the Financial Statements

for the Year ended 31st March, 2007

1. ACCOUNTING POLICIES

Accounting convention

The financial statements have been prepared under the historical cost convention and in accordance with the Financial Reporting Standard for Smaller Entities (effective January, 2005).

The company was dormant throughout the current and previous years.

Foreign currencies

Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

2. CREDITORS

Amounts, falling due within one year

	31.03.2007 £	31.03.2006 £
Sundry creditors & accruals	588	588

3. CALLED UP SHARE CAPITAL

Number	Class	Nominal value		
Authorised :				
500,000	Ordinary	£1	500,000	500,000
Allotted, issued and fully paid:				
Number	Class	Nominal value		
185,000	Ordinary	£1	185,000	185,000

4. ULTIMATE PARENT COMPANY

The company is a 73% owned subsidiary of JK Tyre & Industries Limited, a company which is incorporated in India.

The directors consider JK Tyre & Industries Limited, to be the ultimate holding company of J. K. International Limited.

REPORT OF THE ACCOUNTANTS TO THE DIRECTORS OF J.K. INTERNATIONAL LIMITED

As described on the balance sheet you are responsible for the preparation of the financial statement for the year ended 31st March, 2007 set out on pages three to five and you consider that the company is exempt from an audit.

In accordance with your instructions, we have complied these unaudited financial statements in order to assist you to fulfil your statutory responsibilities, from the accounting records and information and explanations supplied to us.

R V Hoad & Co
Chartered Accountants
Suite 11, Keynes House
Alfreton Road, Derby
Derby
Date: 22nd August, 2007 DE214AS

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